Economics Task 6 - Balance of Payments and the Terms of Trade

Complete study notes (long version). Built from the class decks *Balance of Payments BOP 2025* and *Terms of Trade TOT 2025*, with current ABS data.

Contents

Task 6: Balance of Payments and the Terms of Trade — Study Notes

Notes built directly from your two class decks (`Balance of Payments BOP 2025.pptx`, `Terms of Trade TOT 2025.pptx`), with current ABS data added so your contemporary examples are up to date.

What the assessment is

Short answer test — multiple choice + short answer/data questions.

The five things the task statement says you'll be assessed on:

#	Syllabus point in the task	Where it's covered
1	The concept and structure of Australia's balance of payments	**01 — Balance of Payments**
2	Reasons for Australia's current account balance	**02 — Current Account & S-I Gap**
3	The current account balance and the savings/investment gap	**02 — Current Account & S-I Gap**
4	The concepts of the terms of trade and the terms of trade index	**03 — Terms of Trade**
5	The effects of changes in Australia's terms of trade	**03 — Terms of Trade**

The files

File	Use it for
00-Cheat-Sheet.md	Last 30 minutes before the test. Every definition, formula and chain on one page.
01-Balance-of-Payments.md	Structure of the BOP, credits/debits, double entry, classification drills, BOP calculations.
02-Current-Account-and-SI-Gap.md	Why Australia runs a CAD, factors affecting BOGS and NPY, savings–investment gap.
03-Terms-of-Trade.md	TOT concept, index calculations, factors that shift it, effects of TOT changes.
04-Trends-and-Data.md	10-year trends in CAB/KAFA/TOT, plus a data bank of stats to quote.
05-Practice-Questions.md	20 MCQ + 12 short answer + 3 data-response sets, all with worked answers.

Suggested study order

1. Read **01** and do the classification drill until you can place any transaction without thinking. This is the highest-frequency MCQ topic.
2. Read **03** sections 2–4 and do every calculation by hand. TOT calculations are almost guaranteed marks.

3. Read **02**. The S–I gap chain is the most likely extended short-answer question.
4. Skim **04** and memorise 6–8 statistics.
5. Do **05** closed-book, then mark yourself.
6. Read **00** on the morning of the test.

Two things that win the most marks

Always write in causal chains. Never state an outcome without the mechanism. Use arrows or "which means that…". A bare answer like "the CAD increases" gets 1 mark; the chain gets full marks.

Always quote the direction *and* the account. "Debits in the trade balance rise, decreasing BOGS and therefore decreasing the CAB" beats "imports go up".

Cheat Sheet — read this last

Definitions you must be able to write verbatim

Balance of Payments (BOP): A systematic record of all transactions between the residents of Australia and the residents of the rest of the world over a given period of time (monthly/quarterly/annually). "Residents" = individuals, firms, the government and other organisations operating in Australia.

Current account (CAB): Records the value of the flow of goods, services and income between Australian residents and the rest of the world. Called "current" because what is traded is consumed or received in the current period.

Capital and financial account (KAFA): Records capital and financial transactions between Australia and the rest of the world, including changes in ownership of Australia's assets and liabilities.

Terms of trade (TOT): An index which measures the relative movements in the prices of exports and imports — the ratio of export prices to import prices. It measures the quantity of imports a country can obtain in exchange for a given volume of exports.

Savings–investment gap: The gap between Australia's intended level of investment and the level of domestic savings available to fund it.

Servicing costs: The future financial obligations arising from borrowing funds overseas (interest) or attracting foreign investment (dividends and profits).

Formulas

```
Credits (CR) = money flowing INTO Australia      (exports out, money in)
Debits  (DR) = money flowing OUT of Australia    (imports in, money out)

Net goods              = goods credits − goods debits
Net services           = services credits − services debits
BOGS / Trade balance   = net goods + net services
Net income             = net primary income + net secondary income
CURRENT ACCOUNT (CAB)  = BOGS + net primary income + net secondary income

KAFA = balance on capital account + balance on financial account

CAB + KAFA = 0          ← the BOP always balances

TOT index = (XPI ÷ MPI) × 100

Price index = (total price this year ÷ total price in base year) × 100
```

```
% change = (new − old) ÷ old × 100
```

The BOP identity — the single most examinable fact

CAB + KAFA = 0. Always. Because of double-entry book-keeping: every credit has a matching debit.

- CAB in **deficit** → KAFA in **surplus**
- CAB in **surplus** → KAFA in **deficit**
- Bigger the deficit, bigger the offsetting surplus
- **Net errors and omissions** is the balancing item added because some transactions are hard to measure or are missed entirely

If a question gives you KAFA = +1150, then CAB = −1150. Done.

Structure map

```
CURRENT ACCOUNT (CAB)
├── Balance on Goods and Services (BOGS) = the trade balance
│   ├── Goods      (iron ore, coal, LNG, cars, iPhones, machinery)
│   └── Services   (tourism, education, freight/shipping, insurance)
├── Primary income     (wages, interest, dividends, profits)
└── Secondary income   (foreign aid, pensions, insurance payouts, tax refunds)

CAPITAL AND FINANCIAL ACCOUNT (KAFA)
├── CAPITAL ACCOUNT
│   ├── Capital transfers  (debt forgiveness, conditional grants for capital projects)
│   └── Non-produced, non-financial assets  (brand names, copyrights, trademarks,
│                                            rights to use land/water)
└── FINANCIAL ACCOUNT
    ├── Direct investment      ≥10% voting power – long-term, non-speculative
    ├── Portfolio investment   <10% – no influence, more speculative
    ├── Financial derivatives  trading risk, not assets
    ├── Reserve assets         RBA-controlled (gold, foreign currency)
    └── Other investment       trade credit, currency and deposits
```

Sign rules

Current account — intuitive. Provide something of value → credit. Receive something of value → debit.

KAFA — counter-intuitive. Learn this pair:

	KAFA entry
Australia's **liabilities increase** OR **assets decrease**	**CREDIT (+)**
Australia's **assets increase** OR **liabilities decrease**	**DEBIT (−)**

So: Australians buy foreign shares → Australia gains an asset → **debit**. Money leaves an Australian bank account to pay for imports → Australia loses an asset → **credit**.

The double-entry shortcut: work out which account records the *item* first, then the offsetting *money* entry goes in the financial account with the opposite sign.

- Export → CR in CAB (goods/services) + DR in FA (currency)
- Import → DR in CAB (goods/services) + CR in FA (currency)

Reasons for Australia's CAB — the 6 + 4

Affecting BOGS: 1. Major trading partner growth (esp. China) ↑ → X ↑ → credits ↑ → BOGS ↑ → CAB ↑ 2. Domestic growth ↑ → income ↑ → consumption + capital M ↑ → debits ↑ → BOGS ↓ → CAB ↓ 3. AUD depreciates → X cheaper, M dearer → (if elastic) X ↑, M ↓ → BOGS ↑ → CAB ↑ 4. TOT ↑ → X prices up relative to M prices → credits ↑ → BOGS ↑ → CAB ↑ 5. International competitiveness ↑ (relative wages, inflation differential, exchange rate) → X ↑ → BOGS ↑ → CAB ↑ 6. External shocks (commodity price swings, COVID, wars, tariffs)

Affecting net primary income (NPY): 1. Size of the **savings–investment gap** — the main reason 2. Level of accumulated foreign liabilities (debt + equity) 3. Global and domestic interest rates → interest payable on foreign debt 4. Profitability of foreign-owned Australian firms → dividends payable

NPY is *always* in deficit because Australia is a net capital importer, so we pay more interest and dividends out than we receive.

The S–I gap chain — learn this cold

> Australia has a small population and a relatively low national savings rate, so there is a gap between intended investment and available domestic savings. To close this gap Australia **borrows from overseas (foreign debt)** and **sells ownership of Australian assets (foreign equity)**. Both create future **servicing obligations** — interest on debt and dividends/profits on equity. These are recorded as **primary income debits**, which increases the NPY deficit and therefore **decreases the CAB**. The capital inflow that funds the gap is simultaneously recorded as a **KAFA surplus**, which is the mirror image of the CAD.

Reverse it: higher national savings → smaller S–I gap → less foreign borrowing/equity needed → fewer NPY outflows → smaller NPY deficit → **CAB increases (CAD shrinks)**.

Terms of trade

Rise = FAVOURABLE. XPI rises relative to MPI. Purchasing power ↑ — we buy **more** imports per unit of exports. **Fall = UNFAVOURABLE.** MPI rises relative to XPI. Purchasing power ↓ — we buy **fewer** imports per unit of exports.

Four ways the TOT can rise:

XPI	MPI	TOT rises when…
↑	no change	always
no change	↓	always
↑	↑	XPI rises by **more**
↓	↓	MPI falls by **more**

(Flip all of those for a fall.)

The absolute index number is meaningless — only the change matters.

Factors affecting the TOT

Australia is a **price taker** — X and M prices are set on world markets.

- **Commodity prices** (~75% of exports). Demand *and* supply are **inelastic** → steep curves → small shifts cause **large** price swings. Biggest driver of the TOT.
- Inelastic demand: few global substitutes, small share of final cost, necessity for production, long-term contracts.
- Inelastic supply: long production lags, high capital requirements, geographic/climate constraints, regulatory and infrastructure limits.
- **Manufactured goods prices** (most of our imports). Supply is **elastic** → flat supply curve → prices stable and trending down (Chinese manufacturing, productivity, ICT technology). Falling MPI → TOT ↑.
- **Oil prices** — volatile, we are a major importer, and higher oil raises energy and transport costs across *all* import prices.

TOT tracks the **XPI** far more closely than the MPI, because commodity supply is less elastic than manufactured goods supply, making XPI much more volatile.

Effects of a RISE in the TOT

Same volume of exports earns more revenue →

- BOGS/trade balance ↑ → CAB ↑
- Real GDP and **national income** ↑ → living standards ↑
- Company profits ↑ → investment and employment in the resources sector ↑ → unemployment ↓
- Government tax revenue ↑ (company tax, royalties) → budget position improves
- Demand for AUD ↑ → **AUD appreciates**

- Inflation ↑ (demand-pull from higher incomes)

A **fall** in the TOT reverses every single one of those.

Numbers worth quoting

Stat	Value
Current account, Mar qtr 2026	Deficit of **$27.1b** — widened $4.1b from $23.0b in Dec qtr 2025
Goods trade balance, Mar 2026 (month)	Deficit of **$1,841m** — first monthly deficit since Dec 2017
XPI, Jun qtr 2026	**+1.1%** for the quarter, +3.9% through the year
MPI, Jun qtr 2026	**+5.7%** for the quarter, +6.2% through the year (biggest rise since Dec 2021)
TOT, Jun qtr 2026	Fell to **111.9** from 117.0 — a fall of ~4.4%
Record CAS run	**June 2019 – March 2023** — first sustained surplus since 1975
TOT record high	**~128 index points**, September quarter 2021
Iron ore price collapse	US$180/t (2011) → US$40/t (2015)

Traps

1. **Percentage points ≠ per cent.** 95.5 → 97.4 is a rise of 1.9 index *points* but 2.0 *per cent*. Read the question.
2. Price indexes tell you nothing about **values or volumes**. If a question only gives you XPI and MPI, you cannot conclude anything about export revenue or quantities.
3. A CAD is **not automatically bad** — it can reflect productive investment funded from abroad.
4. In the KAFA, a credit is *not* "money in". It's an increase in liabilities or a decrease in assets.
5. "Purchasing trucks" by a mining company = a **goods import** (current account), not investment.
6. 10% is the direct/portfolio investment cut-off. ≥10% = direct.
7. The exchange rate effect on BOGS assumes X and M demand are **price elastic** — say so.

01 — The Concept and Structure of Australia's Balance of Payments

> **Syllabus:** the concept and structure of Australia's balance of payments; double entry system of recording transactions

---

1. What the BOP is

The Balance of Payments is a systematic record of all transactions between the residents of Australia and the residents of the rest of the world over a given period of time.

Unpack every part of that definition, because markers look for each element:

Element	What it means
Systematic record	An organised set of accounts, not a random list. Compiled by the ABS.
All transactions	Goods, services, income, transfers **and** financial flows.
Residents of Australia	Defined broadly: people who live here, businesses that operate here, the Australian government, and other organisations operating here. **Not** citizenship.
Over a given period	Monthly, quarterly or annually — it's a **flow** measure, not a stock.

Analogy that works well: it's a **receipt of every transaction between Australia and the world** — like a bank statement showing money going in and out, but for an entire country.

Why it matters

The BOP is an important economic indicator for **"open" economies** like Australia that engage in international trade, because it summarises how resources flow between Australia and our trading partners. It shows:

- Trade in goods and services — imports and exports (the most common transactions)
- Income flows — wages, dividends, interest payments
- Transfers — such as foreign aid
- Financial flows — such as foreign investment in shares and securities

> **Stock vs flow — a distinction worth knowing.** The BOP is a *flow* over a period. Australia's *stock* of accumulated foreign assets and liabilities at a point in time is recorded in the **International Investment Position (IIP)**. Persistent current account deficits, funded by capital inflow, build up the stock of net foreign liabilities in the IIP.

---

2. Credits and debits

This is the foundation. Get it wrong and everything after it collapses.

	Direction	Rule
CREDIT (CR, +ve)	Money flowing **INTO** Australia	Exports out, money in
DEBIT (DR, −ve)	Money flowing **OUT OF** Australia	Imports in, money out

Quick drill (from class)

Transaction	CR or DR?
Investment into Australia	**C**
Purchasing a foreign car	**D**
An Australian travelling overseas	**D**
Sending a pension to the UK	**D**
US businessman buying Australian shares	**C**
Buying a US government bond	**D**
Paying for UK freight services	**D**
Foreign aid to Indonesia	**D**
Japanese students studying in Australia	**C**
Iron ore export to Indonesia	**C**

The test: ask "does Australia end up with money coming in, or going out?" Exports of anything (goods, services, education, tourism *into* Australia) = credit. Imports of anything = debit.

---

3. The two accounts

The BOP divides transactions into two broad accounts — often called the **"two sides"** of the balance of payments:

1. **The current account (CAB)**
2. **The capital and financial account (KAFA)**

3.1 The current account

Records the value of the flow of goods, services and income between Australian residents and the rest of the world.

The term *current* is used because the goods, services and income being traded will be **consumed or received in the current period** (specifically, within the quarter).

Three components:

Component	What it records	Examples
Balance on Goods and Services (BOGS) — a.k.a. the **trade balance**	The value of goods and services Australian residents export, less those they import	Goods: iron ore, coal, LNG, beef, wool ↔ cars, iPhones, machinery, fuel. Services: tourism, education, freight/shipping, insurance
Primary income	Income Australian residents earn from, less that they pay to, the rest of the world from **working** and from **financial investments**	Wages, dividends, interest repayments, profits
Secondary income (miscellaneous earnings)	(a) Income from/to the rest of the world from **government** (tax payments and refunds); (b) **current transfers** — where one party provides something to be consumed by another **without receiving anything in return**	Emergency food aid, insurance payouts, pension payments

Most attention is given to the trade balance, because the trade balance forms part of **gross domestic product**.

3.2 The capital and financial account

Records the capital and financial transactions between Australia and the rest of the world.

The **capital account** component (small) records two types of transaction:

Component	What it records	Examples
Capital transfers	Transactions where one party transfers ownership of something without receiving anything specific in return	Forgiveness of debt; conditional grants for capital projects (foreign aid to build roads, dams, schools); transfer of assets between residents and non-residents
Acquisition/disposal of non-produced, non-financial assets	**Intangible** assets and rights to use natural resources	Brand names, copyrights, trademarks; rights to use land or water (e.g. for mining or fishing)

The **financial account** component (much larger) records transactions involving a **change of ownership of Australia's assets or liabilities**. It is structured by class of investment:

Component	What it records	Key detail
Direct investment	Long-term capital investment in a business (machinery, buildings, factories) where the investor has **10% or more** voting power	Non-speculative — the investor has real influence
Portfolio investment	Purchase of equity or debt (shares or bonds) where the stake is **less than 10%**	More speculative — no influence over business operations
Financial derivatives	Purchase/sale of financial contracts whose value is *derived* from another instrument (a bond, share, exchange rate, market index)	These transactions involve the exchange of **risk** between parties, rather than funds
Reserve assets	Purchases/sales of reserve assets held by the **Reserve Bank**	Used to intervene in the foreign exchange market and to meet Australia's IMF commitments
Other investment	Anything that doesn't fit elsewhere	**Trade credit** (importer pays only once goods are received); **currency and deposits** (money deposited in/withdrawn from banks across borders)

> **Financial derivatives explained simply:** they're like bets or insurance contracts between two parties about what will happen to a price in the future. You're not buying an actual asset — you're trading **risk**. "I think this will go up," or "I'll protect myself if this goes down." They sit in the financial account because even though no goods or money may change hands immediately, they involve financial value and risk and they connect Australia to the rest of the world.

The 10% rule is a classic MCQ. ≥10% = direct investment. <10% = portfolio investment.

---

4. Putting the accounts together

```
CURRENT ACCOUNT
  Goods:     Net goods    = credits (X) − debits (M)
  Services:  Net services = credits (X) − debits (M)
                                 ↓
                      = TRADE BALANCE / BOGS

  Income:    Net primary income   = credits − debits
             Net secondary income = credits − debits
                                 ↓
                      = NET INCOME

  BOGS + NET INCOME = BALANCE ON CURRENT ACCOUNT (CAB)


CAPITAL ACCOUNT
  Transfer of intellectual property
```

```
  Foreign aid used for capital
  Transfer of migrant funds
  Credits − debits = BALANCE ON CAPITAL ACCOUNT

FINANCIAL ACCOUNT
  Direct investment / Portfolio investment / Other investment
  (+ derivatives, reserve assets)
  Credits − debits = BALANCE ON FINANCIAL ACCOUNT

  CAPITAL + FINANCIAL = BALANCE ON THE CAPITAL AND FINANCIAL ACCOUNT (KAFA)
```

---

5. The BOP identity — why it always balances

```
Current Account Balance (CAB) + Capital and Financial Account Balance (KAFA) = 0
```

- If the CAB is in **deficit**, the KAFA will be in **surplus**
- If the CAB is in **surplus**, the KAFA will be in **deficit**
- The larger the surplus, the larger the offsetting deficit

Why? Because of the **double entry book-keeping system** — for every credit there is a corresponding debit.

The intuition (the "two wallets" model)

Current account = the spending and earning wallet. Money in = exports and foreign income (credits). Money out = imports and income paid to foreigners (debits). Spending more than you earn → **current account deficit**.

Financial account = the borrowing and investing wallet. To cover the gap you borrow money or attract investment from others (capital inflow = credit). That gives you a **financial account surplus**.

So: if Australia is spending more than it earns in trade and income (CAD of −$1150), it must be **borrowing or attracting investment from overseas** (KAFA surplus of +$1150) to cover the gap. The two are two descriptions of the same event.

Net errors and omissions

In reality the accounts don't perfectly sum to zero, because:

- Some transactions are **hard to measure accurately**
- Some are **completely missed or not recorded** (omitted transactions)

So an extra balancing item called **"net errors and omissions"** is included to ensure everything balances in the end.

> **Sign-convention warning.** Your class convention is `CAB + KAFA = 0`, where a KAFA **surplus is positive** and represents net capital *inflow*. Some ABS tables present the financial account as "net lending/borrowing" with the opposite sign. **Use your class convention in the test** — but if a data table looks upside-down, check the column heading before you panic.

---

6. The double entry system

In every economic transaction, something of value is given and something of equal value is received, so every transaction has two sides.

Each transaction is recorded as **two equal and opposite entries**:

- One entry records the **receipt of the item** (good, service, asset)
- One entry records the **payment** for it (transfer of currency)

Export transactions — two entries

1. **Credit (+)** — recorded when Australia **provides something of value** (exports, or receiving income from overseas for education or tourism).
2. **Matching debit (−)** — recorded for the actual **payment** of this receipt, showing how the foreign buyer transfers the money (e.g. transfer of foreign currency to an Australian bank account).

> One entry shows **what we sold**, one shows **how we got paid**.

Import transactions — two entries

1. **Debit (−)** — recorded when Australia **receives something of value** from overseas (imported goods/services, an Australian studying or travelling overseas).
2. **Matching credit (+)** — recorded for the **payment**, showing how the Australian buyer transfers money overseas (e.g. transfer of AUD to a foreign bank account).

> One entry shows **what we bought**, one shows **how we paid for it**.

The method for any exam question

1. Identify the **item** being traded. Which account and sub-account does it belong in? What's the sign?
2. The **offsetting money entry** goes in the **financial account** (usually *other investment — currency and deposits*, or *trade credit*) with the **opposite sign**.

---

7. Credits and debits in the KAFA — the hard bit

In BOP accounting, credits and debits don't simply mean "money in / money out" like a bank statement. In the KAFA they reflect **changes in ownership of assets and liabilities** between residents and non-residents.

- The **current account** records trade in goods and services, so credits/debits there reflect actual **inflows and outflows of goods and services**.
- The **KAFA** records changes in ownership of financial assets or liabilities.

KAFA entry	Definition	Examples
CREDIT (+ve)	A transaction that **increases Australia's liabilities** to the rest of the world **or decreases Australia's assets**	Borrowing money from overseas; selling foreign shares; withdrawing money from a foreign bank account; money leaving an Australian resident's bank account to pay overseas
DEBIT (−ve)	A transaction that **increases Australia's assets** abroad **or decreases Australia's liabilities**	Buying foreign shares; investing in property overseas; depositing money in a foreign bank account; repaying a loan to a foreign lender

Why a decrease in assets is a credit: when Australians give up ownership of something they previously owned, they are **supplying financial assets to the rest of the world** — hence a credit.

Why an increase in assets is a debit: when Australians build up financial claims overseas, they are **acquiring financial assets from the rest of the world** — hence a debit.

Transaction	What changes	KAFA entry
Australians buy foreign shares	Australia **gains** a financial asset	**Debit**
Australians send money overseas to pay for imports	Australia **loses** a financial asset	**Credit**

---

8. Worked examples of double entry

Example A — $2 million of wheat exported from Australia

Credit entry: Australia exports $2m of wheat → **credit in the current account** (goods exports), because Australia is providing something of value to the rest of the world.

Debit entry: The overseas buyer pays the Australian exporter → **debit in the financial account**. Why? The overseas buyer needs to obtain AUD. They either use AUD they already hold, or exchange their own currency for AUD on the foreign exchange market. Either way there is an **inflow of AUD and an outflow of foreign currency into Australia's financial system**, recorded as a debit because it reflects either an increase in Australia's foreign assets or a decrease in Australia's foreign liabilities.

Summary: CR $2m in the current account, DR $2m in the financial account → net zero.

Example B — An Australian farmer exports $100m of wool to a clothing manufacturer in India

Question	Answer
What are the two offsetting items?	**Wool** and **money**
Which accounts?	**BOGS (current account)** and **other investment (financial account)**
Which is provided and which is received by Australia?	Wool **provided** by Australia (**credit**); money **received** by Australia (**debit**)

Example C — An Australian buys $2,000 of shares in a French company

Question	Answer
Two offsetting items?	**French company shares** and **money**
Which accounts?	**Portfolio investment (financial account)** and **other investment (financial account)**
Provided/received?	Shares **received** by Australia (**debit**); money **provided** by Australia (**credit**)

Note: both entries are in the KAFA here. Not every transaction touches the current account.

Example D — Australians spend $5,000 on holidays in Bali, paid from Australian bank accounts

- The $5,000 spent on overseas travel is an **import**, recorded as a **service debit** in the trade balance (specifically "import — tourism").
- The payments to overseas households and businesses from domestic bank accounts are recorded in the financial account as a **credit** under **"other investment — currency and deposits"**.

Why a credit? Money is leaving Australia, so Australians now have $5,000 less in their bank accounts — a **reduction in Australia's financial assets**.

Example E — $100m of iron ore exported to a Chinese steel maker, paid only on arrival

- The $100m shipment is an **export**, recorded as a **goods credit** under the trade balance.
- The delayed payment is recorded in the financial account as a **debit** under **"other investment — trade credit"** (payment is only made after goods are received).

Example F — Taylor, an Australian resident, buys $20m of shares on the NYSE (<10% of voting rights), paid from an Australian bank account

- The $20m of shares is recorded in the financial account as a **debit** under **portfolio investment**, because the purchase does not give a significant degree of influence over the firm.

- The payment from Taylor's Australian bank account is recorded as a **credit** under **"other investment — currency and deposits"**.

Both a credit and a debit within the KAFA.

---

9. Full classification drill

Cover the right-hand columns and work down. This is the highest-value drill in the whole topic.

Transaction	Account	Sub-section	CR/DR
Australian spending money in Bali	Current	Services	Debit
Mining company purchasing trucks	Current	Goods	Debit
Businessman paying interest on a loan to an overseas investor	Current	Primary income	Debit
Chinese business buying 25% of shares in an Australian company	Financial	Direct investment	Credit
Purchasing shipping for iron ore	Current	Services	Debit
Coal export to China	Current	Goods	Credit
Donation to a charity in Africa	Current	Secondary income	Debit
Australian company buying 5% of shares in Facebook	Financial	Portfolio	Debit
Chinese company paying for Australian education	Current	Services	Credit
Purchasing the rights to use the Nando's name in Australia	Capital	NPNF assets	Debit
RBA selling gold to an overseas country	Financial	Reserve assets	Credit
Drawing on funds in a UK bank account to buy a house in Australia	Financial	Other investment	Credit
Apple iPhone shipment to Australia	Current	Goods	Debit
Overseas company paying interest to an Australian company	Current	Primary income	Credit

Now with both entries

Transaction	Entry 1	Entry 2
A Malaysian tourist visits the new museum	CAB — services, **credit**	FA — other investment, **debit**
Ailsa, an Australian resident, holidays in the UK	CAB — services, **debit**	FA — other investment, **credit**
A local noodle cafe sources ingredients from Indonesia	CAB — goods (import), **debit**	FA — other investment, **credit**
An Australian backpacker earns money working in London	CAB — primary income, **credit**	FA — other investment, **debit**
An American shareholder in Wesfarmers receives a $450 dividend	CAB — primary income, **debit**	FA — other investment, **credit**
Local Scouts send money to aid Vanuatu after a cyclone	CAB — secondary income, **debit**	FA — other investment, **credit**

Pattern to notice: whenever the current account entry is a **debit**, the financial account offset is a **credit**, and vice versa. That's what makes the BOP sum to zero.

---

10. BOP calculations

10.1 The class worked example

Balance of Payments	$m
Current account	
Goods credits	600
Goods debits	500
Net services	−300
Net income	**?**
Capital/financial account balance	1150

Q1: What is the current account balance?

Use the identity. CAB + KAFA = 0. If KAFA = +1150, then:

> **CAB = −1150**

You don't need any of the other rows. The accounts must balance, as required by the BOP framework.

Q2: What is the value of net income?

Step 1 — net goods:

```
Net goods = goods credits − goods debits = 600 − 500 = +100
```

Step 2 — build the CAB:

```
CAB = net goods + net services + net income
    = 100 + (−300) + net income
    = −200 + net income
```

Step 3 — apply the identity:

```
CAB + KAFA = 0
(−200 + net income) + 1150 = 0
net income = −950
```

Answers: CAB = −$1150m, net income = −$950m

10.2 Building a BOP table (double entry)

Transactions: - Sale of $5,000 of iron to China - Sale of $2,000 of shares to a US investor - Purchase of $10,000 of TVs from Korea

Working: - Iron: CR $5,000 in CA (goods); offsetting DR $5,000 in FA (import of currency) - Shares: CR $2,000 in FA; offsetting DR $2,000 in FA (import of currency) - TVs: DR $10,000 in CA (goods); offsetting CR $10,000 in FA (export of currency)

	Credit	Debit	Totals
Current account	+$5,000 (iron ore)	−$10,000 (TVs)	**−$5,000**
Capital and financial account	+$2,000 (shares) +$10,000 (currency)	−$2,000 (currency) −$5,000 (currency)	**+$5,000**
Totals	**+$17,000**	**−$17,000**	**$0**

⚠ **Heads up:** the solution slide in class (slide 59) shows the totals column as CA **+$5,000** and KAFA **−$5,000**. That looks like a typo — the signs are swapped. Check it yourself: the current account has a $5,000 credit and a $10,000 debit, so it *must* be **−$5,000**, and Australia imported more than it exported, which is a trade deficit funded by capital inflow (a KAFA **surplus**). The version above is the arithmetically consistent one. The second table below (slide 62) is correct as given in class.

10.3 Second table

Transactions: - Sale of an Australian farm worth $25k to a Chinese investor - Australian tourists spend $15k overseas - Australia sells $50k of LNG to Korea - Australia purchases Indian telecomms businesses for $80k

	Credit	Debit	Totals
Current account	+$50,000 (LNG)	−$15,000 (Australian tourists)	**+$35,000**
Capital and financial account	+$25,000 (farm) +$15,000 (currency) +$80,000 (currency)	−$25,000 (currency) −$50,000 (currency) −$80,000 (Indian business)	**−$35,000**
Totals	**+$170,000**	**−$170,000**	**$0**

Check: CA (+35,000) + KAFA (−35,000) = 0. ✓

---

11. What a CAD and a CAS actually mean

	Meaning
Current account surplus (CAS)	The economy is a **net creditor** to the rest of the world. It is likely providing an abundance of resources to other economies and is **owed money** in return.
Current account deficit (CAD)	The economy is a **net debtor** to the rest of the world. It is **investing more than it is saving** and is using resources from other economies to meet its domestic consumption and investment requirements.

A deficit is not necessarily bad, especially for an economy in the developing stages or under reform. Sometimes an economy must spend money now to make money in the future, so it runs a deficit intentionally.

---

12. Common mistakes

1. **Confusing "money in" with "credit" in the KAFA.** In the KAFA, credit = liabilities up or assets down.
2. **Forgetting the second entry.** If a question says "record the following transactions", it wants **both** entries.
3. **Putting capital goods in the financial account.** A mining company *buying trucks from overseas* is a **goods import** in the current account. Only a change of ownership of a *financial* asset or a business goes in the financial account.
4. **Mixing up direct and portfolio investment.** ≥10% voting power = direct.
5. **Putting brand names/copyrights in the financial account.** They're **non-produced, non-financial assets** in the **capital** account.
6. **Calling the whole thing the "capital account".** The **capital and financial account (KAFA)** has two distinct parts, and the capital account is the tiny one.

7. **Saying the BOP "should" balance.** It **does** balance — that's what net errors and omissions guarantees.
8. **Treating the BOP as a stock.** It's a flow over a period; the stock is the IIP.

02 — Reasons for Australia's Current Account Balance & the Savings/Investment Gap

> **Syllabus:** the reasons for Australia's current account balance; the reasons for Australia's current account balance in terms of the factors influencing the income balance; the current account balance and savings/investment gap

---

1. Start here: the CAB has two moving parts

```
CAB = BOGS (trade balance)  +  Net primary income  +  Net secondary income
        ↑ volatile, swings between                    ↑ persistently
          surplus and deficit                           in DEFICIT
```

Every "reasons for the CAB" question is really asking you to explain **one or both** of these. So structure your answer that way:

1. **What happened to BOGS**, and why
2. **What happened to net income (mainly NPY)**, and why
3. **Which one dominated** → therefore the CAB moved this way

That third step is what separates a full-mark answer from a half-mark one. In Australia, **the NPY deficit is often larger than the BOGS surplus, which produces a CAD.**

What the balance means

	Meaning
CAS (surplus)	Australia is a **net creditor** to the rest of the world — providing an abundance of resources to other economies and being **owed** money in return.
CAD (deficit)	Australia is a **net debtor** to the rest of the world — **investing more than it is saving**, using resources from other economies to meet domestic consumption and investment requirements.

---

2. Factors influencing BOGS (and therefore the CAB)

Six factors. Learn the chain for each in **both directions**.

2.1 Major trading partner growth

If trading partner growth increases (e.g. China):

> Australian exports increase, particularly minerals and fuels and services → this **increases credits** in the BOGS/trade balance → **increasing the trade balance** → **increasing the CAB**.

If trading partner growth decreases:

> Australian exports fall → **decreases credits** in the BOGS → **decreasing the trade balance** → **decreasing the CAB**.

Why it matters so much for Australia: China is our largest trading partner and the dominant buyer of iron ore and coal, so Chinese construction and steel demand transmits almost directly into our export credits.

2.2 Domestic economic growth

If Australia's growth increases:

> National income rises → households increase consumption spending, particularly on **discretionary and luxury** goods and services → **consumption imports increase**. Businesses experience an increase in production and output → they **increase imports of capital and intermediate goods** → this increase in consumption and capital imports **increases debits** in the BOGS → **decreasing BOGS and the CAB**.

If Australia's growth decreases:

> Unemployment rises and national income falls → households decrease consumption spending, particularly on discretionary items → **consumption imports decrease**. Businesses experience a fall in production and output → **decrease imports of capital and intermediate goods** → **decreases debits** in the BOGS → **increasing BOGS and the CAB**.

Key insight: domestic growth and the CAB move in **opposite** directions. Strong growth worsens the CAB. This is why the CAB often *improves* in a recession — as happened in 2020.

2.3 Exchange rate changes

If the AUD depreciates:

> Imports become **more expensive** for domestic residents and exports become **cheaper** for overseas buyers. **Assuming demand for X and M is price elastic**, exports increase and imports decrease → **credits rise and debits fall** → **increasing BOGS and the CAB**.

If the AUD appreciates:

> Imports become **cheaper** for domestic residents and exports become **more expensive** for overseas buyers. Assuming demand for X and M is price elastic, exports decrease and imports increase → **credits fall and debits rise** → **decreasing BOGS and the CAB**.

⚠ **You must state the elasticity assumption.** It's a marked point. If demand were inelastic, a depreciation could actually worsen the trade balance in the short run (because the higher price of imports outweighs the smaller fall in quantity).

2.4 The terms of trade

> The TOT measures the relative price movements in exports and imports.

If commodity prices increase:

> Australia's export prices rise relative to import prices → the export price index and the TOT increase → as foreign residents are paying **more** for Australian exports, **credits increase → rise in BOGS and the CAB**.

If the TOT falls (e.g. due to a fall in export prices or a rise in import prices):

> Australia's export prices fall relative to import prices → **fall in credit entries relative to debit entries → decreasing BOGS and the CAB**.

See 03 — Terms of Trade for the full treatment.

2.5 Australia's level of international competitiveness

Determined by **relative wage rates, the inflation rate differential, and exchange rate fluctuations**.

If competitiveness increases:

> Exports are more attractive to overseas buyers → exports increase → **increases credits** in the BOGS → **increasing the CAB**.

If competitiveness falls:

> Exports are less attractive to overseas buyers → exports decrease → **decreases credits** in the BOGS → **decreasing the CAB**.

Mechanism to name-drop: if Australia's inflation rate is **higher** than our trading partners' (an adverse inflation differential), our goods become relatively more expensive over time, eroding competitiveness even with a stable exchange rate. Same logic for wage growth outpacing productivity growth (rising unit labour costs).

2.6 External shocks

Changes in commodity prices or unprecedented global events.

Worked example — COVID-19:

> The pandemic resulted in the closure of Australia's international border and domestic lockdown restrictions. The large decrease in inbound travel caused a significant decrease in Australia's **education and tourism service exports**, and personal travel exports also decreased. However, **minerals and fuels and agricultural exports remained strong**. The pandemic caused a fall in **both** X and M — but **M fell by more** in 2020, which caused an **increase in BOGS and the CAB**.

Other shock examples to have ready: the Russia–Ukraine war and Middle East tensions spiking energy prices; US tariffs on Australian steel and aluminium; Chinese trade restrictions on Australian barley, wine and coal; natural disasters disrupting rural exports or mine output.

Summary table

Factor	Direction	Effect on BOGS	Effect on CAB
Trading partner growth	↑	↑ (credits ↑)	↑
Domestic growth	↑	↓ (debits ↑)	↓
AUD	Depreciates	↑ (if elastic)	↑
Terms of trade	↑	↑ (credits ↑)	↑
International competitiveness	↑	↑ (credits ↑)	↑
Commodity prices	↑	↑ (credits ↑)	↑

---

3. Factors influencing the income balance

3.1 NPY = servicing costs

NPY = net primary income.

Australia's NPY deficit reflects Australia's net servicing costs owed overseas:

Type of foreign liability	Servicing cost
Foreign debt (borrowing from overseas)	**Interest payments** on loans
Foreign equity (foreign investment into Australia)	**Dividend payments and profits**

> **Servicing costs:** future financial obligations for borrowing funds (interest) or attracting foreign investment (dividends/profits).

The NPY is persistently in deficit because of the **net inflow of foreign investment into our economy** — which means debit payments to our foreign investors (dividends and interest) exceed the income we receive on our own investments abroad.

3.2 What makes the NPY deficit bigger or smaller

Factor	Effect on the NPY deficit
Size of the S–I gap	Bigger gap → more foreign borrowing/equity → **larger** NPY deficit. *The main driver.*
Stock of accumulated foreign liabilities	Larger stock of foreign debt and equity → more interest and dividends payable → **larger** deficit
Global and domestic interest rates	Higher rates → higher interest payable on foreign debt → **larger** deficit
Profitability of foreign-owned Australian firms	Higher profits (especially in the largely foreign-owned mining sector) → higher dividends paid overseas → **larger** deficit
Level of foreign investment inflow	More inflow → more future servicing obligations → **larger** deficit
Returns on Australian investment abroad	Higher returns received → more primary income credits → **smaller** deficit

Note the interaction with the TOT: when the TOT rises, mining company profits rise. Because much of Australia's mining sector is **foreign-owned**, a large share of those profits is paid out as dividends to overseas investors — a **primary income debit**. So a TOT boom improves BOGS but simultaneously **worsens the NPY deficit**, partly offsetting the improvement in the CAB. This is an excellent point to make in an extended response.

---

4. The savings–investment gap

This is the deepest "reason" for Australia's CAD, and it's an explicit syllabus point. Learn it as a chain.

4.1 The chain

> **The main reason for the NPY deficit in Australia is the savings–investment gap (S–I gap).**
>
> 1. Australia has a **small population** and a **relatively low national savings rate**.
> 2. This creates a **gap between our intended investment levels and the amount of domestic savings** available to fund it.
> 3. To solve this, Australia: - **Borrows from overseas** → creates **foreign debt - Sells ownership of Australian assets** → creates **foreign equity**
> 4. Both steps create **future servicing obligations** in the form of **interest repayments** (on debt) and **dividends and profits** (on equity).
> 5. This **increases NPY outflows**, **increases the NPY deficit**, and **decreases the CAB**.

4.2 The identity

```
CAB ≈ National savings (S) − Investment (I)
```

- If **I > S** → the gap must be funded by foreign capital → **CAD** (and a matching KAFA surplus)
- If **S > I** → Australia is a net lender to the world → **CAS** (and a matching KAFA deficit)

This is why the CAD and the KAFA surplus are **two sides of the same coin**, not two separate problems. The capital inflow that funds the investment gap **is** the KAFA surplus, and the servicing of that capital **is** the NPY deficit.

4.3 Why Australia's gap exists

- **Small population** → a small pool of domestic savings in absolute terms
- **Relatively low national savings rate**
- **High investment requirements** — Australia is a capital-intensive resource economy. Mining projects, LNG plants, rail, ports and (more recently) data centres and energy transition infrastructure require enormous capital outlays relative to the size of our savings pool
- **Attractive investment destination** — stable institutions, rule of law and strong returns pull in foreign capital

4.4 The reverse chain — a guaranteed exam question

"Describe what would happen to the CAD if Australia increased its national savings level."

Current situation: - Low national savings creates the S–I gap - The S–I gap creates the need for foreign borrowing and equity - This creates NPY outflows, therefore decreasing the CAB

What higher national savings would mean: - **Lower S–I gap** - Firms could fund projects from **domestic savings instead of foreign capital - Less need for foreign borrowing and equity - Fewer NPY outflows** (interest, dividends, profits) → **lower NPY deficit** → **increases the CAB (shrinking the CAD)**

And the mirror image: less capital inflow needed → **smaller KAFA surplus**, consistent with CAB + KAFA = 0.

4.5 The self-reinforcing loop

```
Low national savings
      ↓
S–I gap
      ↓
Foreign borrowing (debt) + selling assets (equity)   ←─┐
      ↓                                                │
Stock of foreign liabilities grows                     │
      ↓                                                │
Servicing costs rise (interest + dividends)            │
      ↓                                                │
```

```
NPY deficit widens                                                │
      ↓                                                           │
CAD widens ───────────────────────────────────────────────────────┘
(funded by yet more capital inflow)
```

Being able to draw or describe this loop is a strong discriminator in an extended response.

---

5. Is a CAD actually a problem?

Worth 2–3 marks in any "evaluate" or "discuss" question.

Arguments that it is *not* a problem

- **A deficit is not necessarily bad**, especially for an economy in the developing stages or under reform. Sometimes an economy must **spend money now to make money in the future**, so it runs a deficit intentionally.
- If foreign capital funds **productive investment** that generates a return **greater than the servicing cost**, national income rises and the debt services itself. This is "good" debt.
- Most of Australia's foreign liabilities are **private sector** borrowing between willing parties. On this view (sometimes called the *consenting adults* or **Pitchford thesis**), private agents borrowing voluntarily for profitable projects is not a public policy concern.
- Much of Australia's foreign debt is **hedged** or **denominated in AUD**, which reduces the exchange rate risk of servicing it.
- The CAD is the **arithmetic counterpart** of the capital inflow that has built Australia's capital stock. You cannot have the investment without the deficit.

Arguments that it *is* a problem

- Rising servicing costs are a **structural drag** on the CAB — the NPY deficit persists regardless of how the trade balance performs.
- Vulnerability to a **sudden stop** in capital inflow or a loss of investor confidence, which could force a sharp depreciation and higher interest rates.
- **Debt-servicing ratio** risk if borrowing funds **consumption** rather than productive investment ("bad" debt).
- Exposure to global interest rate rises, which mechanically increase interest payable on foreign debt.

Balanced conclusion to use: the sustainability of a CAD depends less on its size than on **what the borrowed capital is used for** — productive investment that raises future export capacity is sustainable, while borrowing to fund consumption is not.

---

6. Model answer structures

6.1 For "Explain one reason for Australia's current account deficit" (3–4 marks)

> Australia's CAD is largely explained by its persistent **net primary income deficit**, which arises from the **savings–investment gap**. Australia has a small population and a relatively low national savings rate, creating a gap between intended investment and available domestic savings. To close this gap, Australia borrows from overseas (foreign debt) and sells ownership of Australian assets (foreign equity). Both create servicing obligations — interest on debt and dividends and profits on equity — which are recorded as **primary income debits**. Because these outflows consistently exceed the primary income Australia receives from its investments abroad, the NPY remains in deficit, and this deficit frequently exceeds any surplus on the trade balance, producing a **current account deficit**.

6.2 For "Explain how an increase in Chinese economic growth would affect Australia's CAB" (3–4 marks)

> An increase in Chinese economic growth would raise Chinese demand for Australian exports, particularly **minerals and fuels** such as iron ore, coal and LNG, as construction and steel production expand. Higher global demand also **bids up commodity prices**, raising the **export price index** and therefore the **terms of trade**. Both the volume and price effects **increase export credits** in the balance on goods and services, **increasing BOGS**. Assuming import debits are unchanged, this **increases the current account balance** (reducing the CAD). However, this may be **partially offset** by a widening NPY deficit, as higher profits in the largely foreign-owned mining sector increase dividend payments to overseas investors.

6.3 For "Analyse why Australia recorded a current account surplus between 2019 and 2023" (5–6 marks)

Structure: (1) BOGS moved into a large surplus; (2) why — commodity prices, export volumes, weak import demand, travel restrictions; (3) NPY remained in deficit but initially shrank; (4) BOGS surplus exceeded the NPY deficit → CAS; (5) quote data. Full detail in **04 — Trends and Data**.

---

7. Common mistakes

1. **Only discussing the trade balance.** Half the marks in a "reasons for the CAB" question live in the **income balance**. Always address both.
2. **Forgetting to weigh them against each other.** State explicitly which component dominated.
3. **Saying a CAD means Australia is "doing badly".** It means we invest more than we save.
4. **Getting the domestic growth direction backwards.** Strong domestic growth **worsens** the CAB.
5. **Omitting the elasticity assumption** in the exchange rate chain.
6. **Confusing foreign debt with foreign equity.** Debt → interest. Equity → dividends and profits.

7. **Treating the CAD and the KAFA surplus as separate causes.** They are the same event viewed from two accounts.
8. **Saying the S–I gap affects the trade balance.** It works through the **income balance** (NPY), via servicing costs.

03 — The Terms of Trade: Concept, Index, Factors and Effects

> **Syllabus:** the concept of terms of trade and the terms of trade index; factors that affect terms of trade including changes in commodity prices; the effects of changes in Australia's terms of trade

---

1. The concept

The terms of trade (TOT) is an index which measures the relative movements in the prices of exports and imports — the ratio of export prices to import prices.

The key interpretation, which markers look for:

> **The TOT provides a measure of the quantity of imports a country can obtain in exchange for a given volume of exports.**

In other words it measures Australia's **international purchasing power**.

Why the TOT is important

Changes in the **import price index (MPI)** and the **export price index (XPI)** affect the value of our total exports and imports, and therefore have an impact on:

- the **current account**
- the **exchange rate**
- **national income**

The two indexes

Index	Definition
Export Price Index (XPI)	Measures the average price **received** for Australia's exports
Import Price Index (MPI)	Measures the average price **paid** for Australia's imports

Both are **weighted** averages compiled by the ABS — goods with a larger share of trade have a larger weight, so a big price move in a heavily weighted item (iron ore in the XPI, oil in the MPI) drives the whole index.

Worked illustration — XPI. Australia exports mostly iron ore, coal and LNG. China's construction sector booms and needs a lot of steel, so demand for Australian iron ore rises sharply. Demand-pull pressure drives the world price of iron ore from $100 to $150 per tonne. Meanwhile LNG prices stay about the same and coal prices rise slightly due to a colder winter in Asia. Because **iron ore has a big weight in the index**, that large price increase pushes the whole XPI up even though other export prices barely change. On average, Australia is now **receiving more money per unit of exports**. If import prices stay the same, the **TOT improves** — Australia can buy more imports for the same amount of exports.

Worked illustration — MPI. Australia imports a lot of petroleum, motor vehicles and computers. Political instability in the Middle East disrupts global oil supply and the world price of crude oil jumps from $80 to $120 a barrel. Since Australia imports most of its fuel, the cost of refined petrol, diesel and other petroleum products rises sharply. Imported motor vehicle prices stay steady and imported electronics fall slightly due to new manufacturing technology. Because **oil has a big weight in the index**, the large oil increase outweighs the smaller changes and the **MPI rises**. If export prices don't rise by as much, the **TOT falls** — Australia now has to export more goods to buy the same quantity of imports.

---

2. Calculating the TOT index

$$\text{TOT index} = \frac{\text{Export Price Index (XPI)}}{\text{Import Price Index (MPI)}} \times 100$$

If you're given the XPI and MPI, just insert the figures.

Worked example 1

	Year 1	Year 2	Year 3
XPI	100	115	102
MPI	100	110	108

```
Year 1:  100/100 × 100 = 100
Year 2:  115/110 × 100 = 104.5   → TOT improves
Year 3:  102/108 × 100 =  94.4   → TOT deteriorates
```

So in Year 3 a given quantity of exports buys **fewer** imports than in Year 2.

Worked example 2

	2015	2020
XPI	103	109
MPI	117	119

Step 1 — calculate the TOT for both years:

```
2015:  (103/117) × 100 = 88.0
2020:  (109/119) × 100 = 91.6
```

Step 2 — calculate the percentage increase:

```
(91.6 − 88.0) / 88.0 × 100 ≈ 4.1%
```

The TOT rose by approximately 4.1%.

---

3. Constructing an XPI or MPI from raw data

If you are **not** given the index, you have to build it. Steps:

1. **Add the totals** of prices for each year
2. **Assign a base year** and give it an index of **100** (the base year = 100%)
3. For every other year: `(total that year ÷ total in base year) × 100`

Worked example

	Year 1	Year 2	Year 3
Export good A	$200	$190	$200
Export good B	$100	$120	$130
Export good C	$120	$100	$140
TOTAL	**$420**	**$410**	**$470**
XPI	**100** (base year)	**98**	**112**

```
Year 1 (base):  420/420 × 100 = 100
Year 2:         410/420 × 100 = 97.6  ≈ 98
Year 3:         470/420 × 100 = 111.9 ≈ 112
```

What does the XPI mean? Calculate the rate of change to find the percentage increase or decrease:

```
Year 1 → Year 2:   98 − 100  = a fall of 2%
Year 2 → Year 3:  112 −  98  = a 14% rise
```

Note the subtlety: because the base year is 100, the change **from the base year** in index points happens to equal the percentage change — that's why Year 1 → Year 2 is a clean −2%. But Year 2 → Year 3 is **not** a 14% rise; 14 is the change in **index points**. The percentage change is `14 ÷ 98 × 100`

`= 14.3%`. The class slide quotes 14% as a points change — if the question says "calculate the percentage change", use 14.3%. See the trap in section 4.2.

The MPI is calculated exactly the same way.

---

4. Interpreting a rise or fall

4.1 Favourable vs unfavourable

The absolute value of the TOT is NOT as important as the CHANGE from year to year. If the TOT for year 3 was 109.5, that number itself is not important — what matters is whether it has **risen or fallen** from the previous year.

	Term	Meaning
Rise in the TOT	**FAVOURABLE**	Export prices rise **relative to** import prices. We can purchase **more** imports with a given quantity of exports → **purchasing power has increased**
Fall in the TOT	**UNFAVOURABLE**	Import prices rise **relative to** export prices. We can purchase **fewer** imports with a given quantity of exports → **purchasing power has declined**

Class example

Year 1	Year 2	Year 3	Year 4
100	95.5	97.4	101.9

```
Y1 → Y2:  (95.5 − 100)  / 100  × 100 = −4.5%  → UNFAVOURABLE
Y2 → Y3:  (97.4 − 95.5) / 95.5 × 100 = +2.0%  → FAVOURABLE
Y3 → Y4:  (101.9 − 97.4)/ 97.4 × 100 = +4.6%  → FAVOURABLE
```

4.2 ⚠ The percentage points vs per cent trap

From Year 2 to Year 3 the TOT rose from 95.5 to 97.4.

- The rise in **index points** = 97.4 − 95.5 = **1.9 points**
- The rise in **per cent** = 1.9 ÷ 95.5 × 100 = **2.0%**

These are **not the same thing** and the difference grows the further the index is from 100. Read the question wording:

- "By how many **index points**…" → just subtract
- "**Calculate the percentage change**…" → divide by the **original (earlier)** value

You divide by the **old** value, never the new one.

4.3 The four combinations

A question will often give you movements in the XPI and MPI and ask which way the TOT moved.

The TOT RISES when:

XPI	MPI	Condition
Rises	No change	Always
No change	Falls	Always
Rises	Rises	XPI must have risen by **more**
Falls	Falls	MPI must have fallen by **more**

The TOT FALLS when:

XPI	MPI	Condition
Falls	No change	Always
No change	Rises	Always
Falls	Falls	XPI must have fallen by **more**
Rises	Rises	MPI must have risen by **more**

Fast shortcut for MCQs:

```
% change in TOT  ≈  % change in XPI  −  % change in MPI
```

Example: XPI +1.1%, MPI +5.7% → TOT ≈ 1.1 − 5.7 = **−4.6%**, i.e. a fall. (The exact figure is 1.011/1.057 − 1 = **−4.35%** — the approximation is close enough to pick the right MCQ option, but use the full formula if you're asked to *calculate*.)

---

5. Factors that affect the terms of trade

Australia is generally a "price taker" for both exports and imports, because we are a **medium-sized economy**. This means X and M prices are **determined on global markets**, not by us.

The three main factors:

5.1 Commodity prices — the dominant driver

Three-quarters (75%) of Australia's exports are commodities — a raw material or primary agricultural product that can be bought and sold (iron ore, coal, wool, beef, LNG, gold). **Commodity prices are determined on global markets.**

Why commodity prices swing so violently: commodities tend to be **inelastic in BOTH demand and supply**, and therefore have relatively **steep D and S curves — so small shifts in demand and supply can lead to large fluctuations in price**, with a big effect on export revenues and the terms of trade.

Why demand is inelastic	Why supply is inelastic
Few substitutes globally	**Long production lags** — mining projects and agricultural cycles take years to adjust output; can't suddenly produce more because the price went up
Commodities are a **small proportion of the final good**, and therefore a small proportion of final cost	**High capital requirements** (investment and time) — difficult to scale instantly
Necessity for production — can't easily stop using them in the short run	**Geographical and climate constraints**
Global long-term contracts in export markets reduce responsiveness to price changes	**Regulatory and infrastructure limits**

The chains:

```
World (or China's) growth ↑  →  demand for commodities ↑  →  commodity prices ↑  →  XPI ↑  →  TOT ↑
World (or China's) growth ↓  →  demand for commodities ↓  →  commodity prices ↓  →  XPI ↓  →  TOT ↓
Global supply ↑             →  commodity prices ↓  →  XPI ↓  →  TOT ↓
Global supply ↓             →  commodity prices ↑  →  XPI ↑  →  TOT ↑
```

Diagram to be able to draw — the iron ore market:

> Suppose the Chinese economy expands, shifting **world demand for iron ore to the right (D1 → D2)**. Price increases from **P1 to P2** and quantity sold increases from **Q1 to Q2**, along a **steep (inelastic) supply curve**.
>
> - Australia's iron ore exporters sell **more at a higher price**
> - Australia's **XPI increases**
> - **CAB increases** (ceteris paribus)
> - **National income increases**

```
Price
  |       S (steep – inelastic supply)
  |      /
P2├─────/●
  |    / |
P1├───●  |
  |  /|  |      D2
  | / |  |     /
```

```
  | /  |  |  D1 /
  |/   |  | /  /
  └────┴──┴──────── Quantity
     Q1  Q2
```

In summary: as the Chinese/global economy expands, demand for global resources expands → global commodity prices rise → Australia's XPI rises → **favourable change in the TOT**. If global/Chinese growth contracts, global demand for resources falls → commodity prices fall → XPI falls → **unfavourable change in the TOT**.

Because commodities are Australia's largest export **and** commodity prices are volatile, **commodities tend to be the biggest driver of changes in the TOT.**

5.2 Manufactured goods prices

Most of Australia's imports are manufactured and intermediate goods — household appliances, equipment, machinery and ICT.

The supply of manufactured goods tends to be elastic, with a relatively **flat supply curve**, so changes in demand have **little effect on price**.

- As **China has grown into the world's largest manufacturer**, the price of manufactured goods has **declined**. This has been assisted by increases in **productivity** from technology and labour training.
- **ICT goods prices** also tend to fall over time due to technological advancement which lowers costs of production.

```
Import price of manufactured/intermediate goods ↓  →  MPI ↓  →  TOT ↑   (and vice versa)
```

Exception worth quoting — COVID: during COVID there were **supply bottlenecks** → decrease in supply → increase in import prices → **rise in MPI → fall in the TOT**.

5.3 Oil prices

- The **global oil price is volatile** (an inelastic good) and **Australia is a significant importer of oil**
- The global oil price is decided on **global markets via the forces of demand and supply**
- **Example:** 2022–2024, the Ukraine–Russia war and tensions in the Middle East spiked oil prices → **rise in MPI → deterioration in the TOT**
- **Higher oil prices potentially affect all import prices**, because they increase **energy and transport costs**

⚠ **Two-way effect worth knowing.** Higher oil prices raise the MPI (bad for the TOT), but they also raise the price of Australia's **energy export substitutes** — coal and LNG — which raises the XPI (good for the TOT). Which effect dominates depends on the relative weights. In 2016–19 the XPI effect dominated via LNG; in 2022 both indexes rose together.

5.4 Extension: the exchange rate

Not emphasised in class, but a good discriminator if you want a top mark.

The ABS trade price indexes are measured in **Australian dollars**. So a **depreciation of the AUD raises both** the AUD price of exports and the AUD price of imports, and the net effect on the TOT is **ambiguous** — it depends on which index is more affected. This is why you should always attribute TOT movements primarily to **world price movements** in commodities, manufactures and oil, rather than to the exchange rate.

Note the causality also runs the other way: a **rising TOT tends to cause the AUD to appreciate** (see section 6).

5.5 Why the TOT tracks the XPI, not the MPI

The TOT is more closely correlated with the XPI than the MPI, because the **MPI is relatively less volatile than the XPI**:

Index	Range over the period
MPI	Low of 83 to a high of 113 → **range 29**
XPI	Low of 64 to a high of 114 → **range 60**

Why? Because the **supply of manufactured goods is more elastic than the supply of primary commodities.** Elastic supply → prices absorb demand shifts with little movement. Inelastic supply → prices swing hard.

---

6. The effects of changes in the terms of trade

This is an explicit syllabus point in your task, so know it in detail.

6.1 Master table

	Increase in TOT (favourable)	Decrease in TOT (unfavourable)
Meaning	XPI rises relative to MPI — **more** imports can be purchased from a given volume of exports	MPI rises relative to XPI — **fewer** imports can be purchased from a given volume of exports
Causes	Increase in commodity prices; natural disasters increasing rural prices; fall in global oil prices; fall in manufacturing costs; technology lowering ICT prices	Decrease in commodity prices; increase in global oil prices; increase in supply bottlenecks; increase in manufacturing costs
Effects	Trade balance/BOGS (X−M) **increases** Real GDP and national income **increase** Unemployment rate **decreases** Government tax revenue **increases** Living standards **rise** Investment and employment in the resources sector **rise** AUD **appreciates** (more demand for our currency) Inflation rate **increases**	Trade balance/BOGS (X−M) **decreases** Real GDP and national income **decrease** Unemployment rate **increases** Government tax revenue **decreases** Living standards **fall** Investment and employment in the resources sector **fall** AUD **depreciates** (less demand for our currency) Inflation rate **decreases**

6.2 The chains behind each effect (rise in the TOT)

Don't just list the effects — explain the mechanism.

→ Trade balance / CAB

> Export prices rise relative to import prices, so the **same volume of exports earns more revenue**. Export credits rise relative to import debits → **BOGS increases → CAB increases**.

→ National income and living standards

> Higher export revenue flows to Australian exporters as **higher incomes and profits**. Real gross domestic **income** rises faster than real GDP. Because Australia can now buy **more imports per unit of exports**, **real purchasing power** and therefore **material living standards rise**.

→ Employment and investment

> Higher commodity prices raise the **expected profitability** of resource projects → firms **increase investment** in the resources sector → **derived demand for labour rises → employment rises and unemployment falls**, particularly in mining regions.

→ Government budget

> Higher company profits and higher employment increase **company tax and income tax receipts**, and higher commodity volumes/prices increase **state royalties** → **tax revenue rises** → the **budget balance improves**.

→ Exchange rate

> Higher export revenue means foreign buyers must **purchase more AUD** to pay for Australian exports, and higher expected returns on Australian assets attract **capital inflow** → **demand for AUD increases** → the **AUD appreciates**.

→ Inflation

> Higher national income and profits raise aggregate demand → **demand-pull inflationary pressure**, especially if the economy is near full capacity.
>
> *Nuance worth adding for a top mark:* the accompanying **AUD appreciation makes imports cheaper**, which puts **downward** pressure on imported inflation. So the net inflation effect is a **tug-of-war** — the demand-pull effect usually dominates during a strong TOT boom, which is why the RBA may respond by tightening monetary policy.

Reverse every one of these chains for a fall in the TOT.

6.3 The link back to the CAB

```
TOT ↑  →  export prices ↑ relative to import prices
       →  export credits ↑ relative to import debits
       →  BOGS ↑
       →  CAB ↑

       BUT: higher mining profits → higher dividends paid to
            (largely foreign) owners → primary income debits ↑
       →  NPY deficit ↑
       →  partially offsets the improvement in the CAB
```

Mentioning that offset shows genuine understanding and is worth a mark in an "analyse" question.

---

7. Common traps

1. **Percentage points vs per cent.** See 4.2. Divide by the **old** value.
2. **Inferring values or volumes from price indexes.** If you're only given the XPI and MPI, you **cannot** conclude anything about the *value* of exports (price × quantity) or about quantities. This is a very common MCQ distractor — the correct answer will only ever be about **prices** and **purchasing power**.

3. **Reading "TOT falls" as "exports fell".** A TOT fall can happen with **rising** export prices, if import prices rise by more.
4. **Thinking a high index number is good.** Only the **change** matters.
5. **Saying a falling TOT causes stronger economic growth.** It's the opposite — a falling TOT **reduces** growth prospects and reduces real purchasing power from trade, so it **worsens** national economic welfare.
6. **Forgetting the "price taker" framing.** Australia doesn't set world prices — say so when explaining causes.
7. **Attributing TOT changes to the exchange rate as the main cause.** World commodity prices are the main driver; the exchange rate effect is ambiguous because both indexes are in AUD.

Worked MCQ trap (from class)

Given XPI 100 → 115 → 102 and MPI 100 → 110 → 108, so the TOT is 100 → 104.5 → 94.4:

- **Correct —** in Year 3 a given quantity of exports buys **fewer imports** than in Year 2.
- **Wrong —** "Import prices increased faster than export prices" — over the whole period import prices rose 10% (100→110) while export prices rose 15% (100→115), so imports did **not** increase faster.
- **Wrong —** Anything about the **value** of exports falling or declining — value is price × quantity, and we only have **price indexes with no quantities**, so we can't conclude anything about value.

04 — Trends and Contemporary Data

> **Syllabus:** trends in Australia's current account and financial account over the last ten years; trends in Australia's terms of trade over the last ten years

Your teacher's advice: **know the past ten years, but concentrate on post-2020 so you can explain it very well.**

---

1. The big picture in one paragraph

> Over the past decade Australia's current account has been **dominated by two opposing forces**: a highly volatile trade balance (BOGS) driven by commodity prices, and a **persistent net primary income deficit** driven by servicing costs on our accumulated foreign liabilities. For most of the decade the **NPY deficit exceeded the BOGS surplus, producing a CAD**. The exception was **June 2019 to March 2023**, when a record commodity price boom pushed BOGS into such a large surplus that Australia recorded its **first sustained current account surplus since 1975**. As commodity prices eased and domestic demand recovered from 2023, Australia returned to a **CAD**, which has since widened sharply.

---

2. Trends in the current account balance

Headline movements

- Overall, the CAB fluctuated from a deficit of **−$6.6 billion in Dec 2016** to **−$12.2 billion in Dec 2024**
- **BOGS/trade balance** fluctuated yearly — went into **deficit in Dec 2017 (−$1.4 billion)**, reached a **peak of $40.6 billion in Jun 2022**, before dropping to **$7.5 billion in Dec 2024**
- **NPY was always in deficit**, due to the net inflow of foreign investment into our economy = debit payments to our foreign investors (dividends and interest)
- The CAB was in **deficit** most of the time (Dec 2016, 2017, 2018, 2019, 2023, 2024), with **2020 – Mar 2023 the exception**
- **Often the NPY deficit > the BOGS surplus → CAD**

Source: ABS

Period-by-period

2015–2016: FALLING CAB

Component	Movement	Why
Trade balance	**Falling**	TOT falling (M prices rising faster than X prices); overseas growth declining; weaker commodity prices
Net income deficit	**Stable / slight fall**	Reduced profitability of Australian firms; lower global interest rates = more investment into Australia

Overall: a fall in the CA due to the fall in the trade balance, despite a slight fall in the net income deficit. **CAD.**

2017–2018: RISING CAB

Component	Movement	Why
Trade balance	**Rising**	Rising export prices (increasing commodity prices); rising service and mining export volumes (particularly **LNG**) due to strong overseas demand → **trade surplus (X > M)**
Net income deficit	**Rising**	Rising profitability of Australian firms which are **primarily foreign owned**; non-mining investment rising; global interest rates rising

Overall: a rise in the CA, caused by a sharp rise in the trade surplus despite the rise in the net income deficit. **However, still a CAD.**

> This period is the perfect illustration of the offsetting mechanism: the trade balance improved *and* the income deficit worsened, so the CAB improved but not enough to reach surplus.

MID-2019 – MARCH 2023: RISING CAB → **CURRENT ACCOUNT SURPLUS**

Component	Movement	Why
Trade balance	**Rising**	Rising export prices (increasing commodity prices); rising service and mining export volumes due to strong overseas demand → **trade surplus**; **weaker domestic consumption due to the 2020 recession = decreased imports**; **travel restrictions 2020–21 = surplus in services** due to reduced outbound tourism (services are usually in deficit)
Net income deficit	**Falling**, then rising	COVID cautiousness = falling foreign investment (thus fewer repayments) and increased savings; falling profitability of Australian firms; in 2020 the income deficit decreased in size. In late 2021–2022, the Australian economy did well and FI continued to flow in → **NPY deficit increasing**

Overall: a rise in the CA, caused by a sharp rise in the trade surplus and initially a decrease in the NPY deficit. Even as the NPY deficit increased post-2021, the **strong trade surplus → CAS**.

From June 2019 to March 2023, Australia maintained a current account surplus. This had not been achieved since 1975 — 44 years.

WHY EXACTLY DID AUSTRALIA HAVE A CAS FROM 2019–2023?

This is very likely to be an exam question. The full reasoning:

- The surplus starts in **March 2019**
- **NPY is still in deficit** — the income deficit shrank but remained a deficit, so **NPY is not (fully) the reason** for the CAS
- **BOGS is in surplus** — reaching **$30 billion in June 2021** — and BOGS increased overall
- It came off the back of **strong bulk commodity prices** — in particular, the **iron ore price** drove a **record metal ores and minerals export value of $53.3 billion**
- Imports continued to rise, driven by increases in **fuel imports** coinciding with the opening of the **Trans-Tasman travel bubble**
- **Government stimulus policies** and the easing of freight backlogs resulted in increased imports for **transport equipment and machinery** across consumption and capital goods

The one-line answer: the CAS was driven almost entirely by a **record BOGS surplus** built on historically high bulk commodity prices, which was large enough to outweigh the persistent NPY deficit — not by any improvement in the income balance.

2023–2025: POST-PANDEMIC RETURN TO NORMAL → **BACK TO CAD**

- The economy **recovered strongly**
- **Increase in income → increase in imports**
- **Commodity prices start to fall** → trade balance/BOGS starts to fall
- **Increase in investor confidence and higher profits → increase in foreign investment → increase in dividends and interest paid** (deficit in NPY widens)
- **Returned to CAD by 2024**

2025–2026: THE CAD WIDENS SHARPLY

The most current data — use this for contemporary examples:

- **December quarter 2025:** CAD of **$23.0 billion** (revised). The fall in the current account was **led by the net primary income deficit widening while the goods and services surplus remained steady**
- **March quarter 2026:** CAD of **$27.1 billion** (seasonally adjusted, current prices) — an increase in the deficit of **$4.1 billion**
- The wider **primary income deficit** was due to a **$1.6 billion rise in primary income paid to overseas investors**, driven by **stronger dividends paid by Australian firms**, plus a **$0.9 billion decrease in income received** from Australian investment overseas
- The **trade surplus fell $5.2 billion to $3.9 billion** in the March quarter 2026
- In the **month of March 2026**, the balance on goods was a seasonally adjusted **deficit of $1,841 million — the first monthly goods deficit since December 2017**
- Import drivers in early 2026: a boom in **data centre equipment** imports and a surge in the value of **fuel** imports linked to Middle East conflict

Textbook illustration: this period shows *both* CAB components moving against us simultaneously — falling commodity prices weakening BOGS, while rising dividend outflows widen the NPY deficit.

Sources: ABS Balance of Payments and International Investment Position; ABS media release — current account deficit widens; ABS media release — first trade deficit since December 2017. Content summarised and rephrased for licensing compliance.

---

3. Trends in the capital and financial account (KAFA)

Remember: **the KAFA is the mirror image of the CAB.** Every point below is the counterpart of a point above.

- **Historically, the Australian economy has generally been a net recipient of capital inflows** from the rest of the world
- The savings of the domestic economy have been **supplemented with inflows of capital from abroad** to fund the relatively **high level of investment** in the Australian economy
- This has been reflected in a **capital and financial account surplus — the counterpart to Australia's current account deficits**
- **In recent years there has been a net outflow of capital** from Australia — that is, **Australians have invested more overseas than those abroad have invested in Australia's economy**
- This has been reflected in a **capital and financial account deficit** and is **consistent with the recent shift to a current account surplus**

The logic to reproduce

```
CAD  ←→  KAFA surplus   (capital inflow funds the S–I gap)
CAS  ←→  KAFA deficit   (Australia becomes a net lender abroad)
```

So during the 2019–2023 CAS period, the KAFA moved into **deficit**. As Australia returned to a widening CAD from 2024 onward, the KAFA returned to **surplus**.

Exam tip: if a question tells you what happened to the KAFA, you can immediately state what happened to the CAB, and vice versa. Free marks.

---

4. Trends in the terms of trade

Overall shape

Overall rise in the TOT from 2016 to 2022, then decline.

The TOT is more closely correlated with the XPI than the MPI, because the **MPI is relatively less volatile**:

Index	Range
MPI	Low of 83 → high of 113 = **range 29**
XPI	Low of 64 → high of 114 = **range 60**

Why? The **supply of manufactured goods is more elastic than the supply of primary commodities.**

Period-by-period

2014–15: TOT FALLING

XPI falling: - World commodity prices start to fall - **Increased supply** on global commodity markets and **falling global demand as growth slows in China** → decreased commodity prices - **Iron ore fell from US$180 per tonne to US$40 per tonne (2011 to 2015) - Fall in global oil prices** — in the last quarter of 2015 oil dropped from **US$48 to US$32 (a 33% fall)**, due to weak demand and the end of trade sanctions against Iran leading to rising supply. This led to a fall in the price of Australia's **energy substitutes** such as coal and natural gas

MPI stable: lack of growth in import prices over this period.

2016–19: TOT RISING (~30%)

XPI rising (40%): - World economic growth increased → **rise in commodity prices**, particularly **coal and iron ore** due to strong growth in China - **Rise in oil prices (substitution effect):** members of the **OPEC cartel** (which controls global supply of oil) stabilised oil prices by stabilising supply, leading to an increase in global oil prices → increased demand for **oil substitutes → increased XPI (LNG) → increase in TOT**

MPI rising, but by less than the XPI: - Rise in oil prices — one of Australia's major imports - Somewhat **offset by lower manufacturing prices** (thus smaller MPI movements)

> Note the mechanism: because the XPI rose by more than the MPI, the TOT rose. This is the "both rising" case from the four-combinations table.

2020 (JUNE AND SEPTEMBER QUARTERS): SMALL FALL IN TOT

XPI fell: - COVID caused a **global recession** → XPI falling - Fall in **LNG and coal prices** due to reduced global energy demand (travel restrictions)

MPI fell: - Fall in **oil prices** due to a significant reduction in demand during lockdowns (one of Australia's major import costs) - Weak global demand for consumption and manufactured goods due to uncertainty/sentiment - **Strong AUD** in the latter half of 2020 → makes imported goods cheaper/more affordable

2020–2022: TOT RISING TO A HISTORIC HIGH

XPI rising (after the fall in the June–Sept quarters of 2020): - **Rise in commodity prices**, especially **coal and gas** — caused by rising demand for exports as economies began to recover from the 2020 recessions and invest, build and grow → need raw materials → rise in commodity prices - **Rise in oil prices** — in March 2022 petrol prices were the highest in a decade, above **$2 per litre** — driven by strong global oil demand and constrained global supply (**Ukraine–Russia conflict**). Increased demand for oil substitutes → increased XPI → increased TOT

MPI rising (after falling through 2020): - Import prices began to rise through 2021 due to **global supply constraints/shortages** forcing prices up - Main contributors: **petroleum, road vehicles and fertilisers**

The key analytical points: - Even though **both XPI and MPI fell through 2020**, the TOT was still **favourable** — because the **MPI fell by more than the XPI** - In the year to **September 2021, the XPI rose 41% while the MPI rose 6.4%** — the TOT reached a **historic high of 128 index points** - It then fell to **125 index points in the December 2021 quarter**

2023 – PRESENT: TOT DECLINE

XPI falling: - Fall in commodity prices, especially **iron ore** - Caused by the **economic slowdown in China** (less demand for Australian exports) → decreased XPI → **reduced purchasing power** - Current global factors: the **US announced tariffs on Australian steel and aluminium exports**, which may lead to a further downturn and fall in the XPI

MPI falling: - Prices of **oil and petroleum fell by 17.7%** (March quarter 2024) — weaker global demand - **High inflation in Australia (7% in 2023)** → slowdown in the economy → decrease in consumption and imports

> Note this is the "both falling" case — the TOT still **fell**, because the **XPI fell by more** than the MPI.

2026: TOT FALLS SHARPLY

Most current data:

	June quarter 2026
Export Price Index	**+1.1%** for the quarter, **+3.9%** through the year
Import Price Index	**+5.7%** for the quarter, **+6.2%** through the year — the **biggest rise since December 2021**

Therefore the TOT fell, because the MPI rose by far more than the XPI:

```
% change in TOT ≈ %ΔXPI − %ΔMPI = 1.1 − 5.7 = −4.6%
Exact: (1.011 ÷ 1.057) − 1 = −4.35%
```

This is consistent with the TOT index falling from about **117.0 in the March quarter 2026 to about 111.9 in the June quarter 2026** — a fall of roughly **4.4%**, i.e. **unfavourable**.

Why: - The **MPI surge** was driven by **fuel prices** (Middle East conflict disrupting oil supply) - **XPI weakness** in commodities: **metalliferous ores and metal scrap fell 1.4%**, weighed down by **high Chinese iron ore stockpiles** and **strong global supply conditions**, with **Chinese steel production incentives falling** and **anti-dumping measures softening iron ore demand**

This is a perfect contemporary example because it demonstrates the textbook mechanism cleanly: a supply-side shock raising the MPI (oil) plus weak Chinese demand lowering the XPI (iron ore) = an unfavourable movement in the TOT, reduced purchasing power, and downward pressure on BOGS and the CAB.

Sources: ABS International Trade Price Indexes; ABS media release — import prices record biggest rise since December 2021; Trading Economics — Australia Terms of Trade. Content summarised and rephrased for licensing compliance.

> ⚠ **A note on which TOT series you're looking at.** The ~111.9 / 117.0 figures come from the **national accounts** TOT (based on implicit price deflators for all goods *and services*). The XPI/MPI from the International Trade Price Indexes cover **merchandise (goods) only**. The two series move together but the exact index numbers differ. In an exam, just use whatever indexes the data table gives you.

---

5. Commodity prices vs the TOT

There is a **clearly similar trend** between commodity prices and the TOT.

Why: because commodities are **Australia's largest export**, and because **commodity prices are volatile**, **commodities tend to be the biggest driver of changes in the TOT**.

If a chart in the exam overlays the RBA Index of Commodity Prices with the TOT, the expected observation is that they **move together closely**, and the explanation is Australia's export concentration in commodities plus the inelasticity of commodity supply and demand.

---

6. Data bank — memorise 6–8 of these

Current account / BOP

Stat	Value
CAB, Dec 2016	Deficit of **$6.6b**
CAB, Dec 2024	Deficit of **$12.2b**
CAD, Dec qtr 2025	**$23.0b**
CAD, Mar qtr 2026	**$27.1b** — widened by $4.1b
Primary income paid to overseas investors, Mar qtr 2026	**+$1.6b** rise (stronger dividends by Australian firms)
Trade surplus, Mar qtr 2026	Fell **$5.2b to $3.9b**
Monthly goods balance, Mar 2026	Deficit of **$1,841m** — first since Dec 2017
BOGS, Dec 2017	Deficit of **$1.4b**
BOGS, Jun 2021	Surplus of **$30b**
BOGS peak, Jun 2022	**$40.6b**
BOGS, Dec 2024	**$7.5b**
Record metal ores and minerals export value	**$53.3b**
Record CAS run	**June 2019 – March 2023** — first since **1975** (44 years)

Terms of trade

Stat	Value
TOT historic high	**128 index points**, September quarter 2021 (fell to 125 in Dec qtr 2021)
Year to Sept 2021	**XPI +41%**, **MPI +6.4%**
XPI rise, 2016–19	**+40%** (TOT +30%)
Iron ore price collapse	**US$180/t (2011) → US$40/t (2015)**
Oil price fall, last qtr 2015	**US$48 → US$32** (a 33% fall)
Petrol, March 2022	Above **$2 per litre** — highest in a decade
Oil and petroleum import prices, Mar qtr 2024	**−17.7%**
Australian inflation, 2023	**7%**
XPI, Jun qtr 2026	**+1.1%** qtr / +3.9% yoy
MPI, Jun qtr 2026	**+5.7%** qtr / +6.2% yoy — biggest rise since Dec 2021
TOT, Jun qtr 2026	Fell to **~111.9** from ~117.0 — about **−4.4%**
Metalliferous ores, Jun qtr 2026	**−1.4%**
XPI range over the decade	64 → 114 (**range 60**)
MPI range over the decade	83 → 113 (**range 29**)
Commodity share of Australian exports	**~75% (three-quarters)**

---

7. How to answer a "describe the trend" question

A 3–4 mark trend question wants **four things**. Miss any one and you lose marks.

1. **The overall direction** — "the CAB was in deficit for most of the period, with a sustained surplus between 2019 and 2023"
2. **Quantified start and end points with dates** — "from a deficit of $6.6b in Dec 2016 to a deficit of $12.2b in Dec 2024"
3. **Any turning point or anomaly** — "the trade balance peaked at $40.6b in June 2022 before falling"
4. **The cause, as a chain** — "driven by record bulk commodity prices, particularly iron ore, which raised export credits and pushed BOGS into a large surplus"

Template sentence

> "Over the period [date] to [date], [indicator] [rose/fell/fluctuated] from [figure] to [figure], with [a peak/trough] of [figure] in [date]. This was primarily caused by [factor], which [causal chain] and therefore [effect on the indicator]."

Reading charts under time pressure

Class practice examples, with the accepted answers:

Question	Answer
Identify the year with the largest monthly trade deficit	**2015**
Identify the value of the trade balance in September 2018	**$3 billion**
Identify the value of Australian exports in September 2015	Answers between **$27–$28.1 billion**

Note the tolerance band on the third answer. For "identify the value from the graph" questions, markers accept a **range**. Read off the axis carefully, state the **units** ($ billion / $ million / index points), and don't agonise over precision — but always include the unit or you'll lose the mark.

---

8. Further reading (if you have time)

- RBA Explainer — *The Structure of the Balance of Payments*
- RBA Explainer — *Trends in Australia's Balance of Payments*
- RBA Chart Pack — *Balance of Payments and External Position*
- ABS — *Balance of Payments and International Investment Position, Australia*
- ABS — *International Trade Price Indexes, Australia*

05 — Practice Questions

20 multiple choice + 12 short answer + 3 data-response sets. **Do them closed-book first.** Answers and full working are in Part D.

Part A — Multiple choice

1. The balance of payments is best defined as: - (a) A record of Australia's exports and imports of goods and services - (b) A systematic record of all transactions between Australian residents and the rest of the world over a period of time - (c) A measure of Australia's total foreign debt at a point in time - (d) The difference between Australia's national savings and national investment

2. An Australian mining company imports new excavators from Japan. This is recorded as a: - (a) Debit in the financial account under direct investment - (b) Credit in the capital account - (c) Debit in the current account under goods - (d) Debit in the financial account under other investment

3. A German company purchases 30% of the ordinary shares in an Australian agricultural business. This is recorded in the: - (a) Financial account as a credit under portfolio investment - (b) Financial account as a credit under direct investment - (c) Capital account as a credit under capital transfers - (d) Financial account as a debit under direct investment

4. Australia's balance of payments must always sum to zero because: - (a) The ABS adjusts the figures to make them balance - (b) Exports always equal imports over the long run - (c) Every transaction is recorded as two equal and opposite entries - (d) The RBA intervenes in the foreign exchange market to offset any imbalance

5. If Australia's capital and financial account records a surplus of $18.4 billion, the current account must record: - (a) A surplus of $18.4 billion - (b) A deficit of $18.4 billion - (c) A balance of zero - (d) It cannot be determined without more information

6. An Australian resident deposits $50,000 into a bank account in Singapore. In the KAFA this is recorded as a: - (a) Credit, because money has flowed out of Australia - (b) Debit, because Australia's foreign assets have increased - (c) Credit, because Australia's liabilities have increased - (d) Debit, because Australia's liabilities have decreased

7. Which of the following is recorded in the **capital** account? - (a) An Australian firm purchasing a factory in Vietnam - (b) An Australian company buying the rights to use a foreign brand name in Australia - (c) An overseas investor purchasing Australian government bonds - (d) The RBA purchasing foreign currency reserves

8. The item "net errors and omissions" is included in the balance of payments because: - (a) The ABS makes arithmetic errors when compiling the accounts - (b) Some transactions are difficult to measure accurately or are not recorded at all - (c) Exchange rate movements change the value of transactions after they occur - (d) Illegal transactions are excluded from the accounts by law

9. An Australian university receives $30,000 in fees from an Indonesian student studying in Melbourne. The two entries are: - (a) Credit in the current account (services) and debit in the financial account - (b) Debit in the current account (services) and credit in the financial account - (c) Credit in the current account (primary income) and debit in the financial account - (d) Credit in the capital account and debit in the current account

10. Australia's net primary income has remained in deficit for decades primarily because: - (a) Australia consistently imports more goods than it exports - (b) Australia is a net capital importer and must service its foreign liabilities - (c) Australia provides large amounts of foreign aid - (d) Australian wages are higher than those of our trading partners

11. An increase in Australia's rate of economic growth, other things equal, would be expected to: - (a) Increase BOGS and increase the CAB - (b) Decrease BOGS and decrease the CAB - (c) Increase BOGS and decrease the CAB - (d) Have no effect on the CAB

12. The terms of trade index is calculated as: - (a) (Import price index ÷ export price index) × 100 - (b) (Export price index ÷ import price index) × 100 - (c) (Export volume ÷ import volume) × 100 - (d) Export values minus import values

13. Australia's terms of trade will improve if: - (a) Both export and import prices rise by the same percentage - (b) Export prices fall and import prices fall by a smaller percentage - (c) Export prices rise and import prices rise by a smaller percentage - (d) Export volumes rise and import volumes fall

14. In a given year Australia's XPI is 124 and its MPI is 110. The terms of trade index is closest to: - (a) 88.7 - (b) 112.7 - (c) 114.0 - (d) 134.0

15. Australia's terms of trade index falls from 120 to 114. This represents: - (a) A fall of 6% - (b) A fall of 5% - (c) A fall of 6 per cent and 6 index points - (d) A fall of 5.3%

16. A key reason commodity prices are highly volatile is that: - (a) Demand is elastic and supply is elastic - (b) Demand is inelastic and supply is elastic - (c) Both demand and supply are inelastic, so small shifts cause large price changes - (d) Commodities are traded only under long-term fixed-price contracts

17. Australia's terms of trade is more closely correlated with the XPI than the MPI because: - (a) Exports are a larger share of GDP than imports - (b) The supply of manufactured goods is more elastic than the supply of primary commodities - (c) The ABS gives exports a greater weighting in the terms of trade index - (d) Import prices are fixed by long-term contracts

18. A sustained fall in Australia's terms of trade would most likely lead to: - (a) An appreciation of the AUD and rising national income - (b) A depreciation of the AUD and falling national income - (c) Stronger economic growth in Australia - (d) An improvement in national economic welfare

19. Australia's XPI rises by 3% while its MPI rises by 8% over the same period. It follows that: - (a) The terms of trade rose by approximately 5% - (b) The terms of trade fell by approximately 5% - (c) The value of Australia's exports fell - (d) Australia's export volumes must have fallen

20. If Australia's national savings rate increased significantly, other things equal, we would expect: - (a) A larger S–I gap, a wider NPY deficit and a lower CAB - (b) A smaller S–I gap, a narrower NPY deficit and a higher CAB - (c) A smaller S–I gap and a larger KAFA surplus - (d) No change to the current account, since savings affect only the financial account

---

Part B — Short answer

1. Define the balance of payments. *(2 marks)*

2. Distinguish between a credit and a debit in the current account. *(2 marks)*

3. Explain why the balance of payments must always balance. *(3 marks)*

4. Distinguish between direct investment and portfolio investment. *(2 marks)*

5. Explain why a transaction that increases Australia's foreign assets is recorded as a **debit** in the capital and financial account. *(3 marks)*

6. Identify the three components of the current account and give one example of each. *(3 marks)*

7. Explain **two** factors that could cause Australia's balance on goods and services to increase. *(4 marks)*

8. Explain the relationship between the savings–investment gap and Australia's current account deficit. *(5 marks)*

9. Describe what would happen to Australia's current account deficit if Australia increased its level of national savings. *(4 marks)*

10. Define the terms of trade and explain what a rise in the terms of trade means for Australia. *(3 marks)*

11. Explain how a slowdown in Chinese economic growth would affect Australia's terms of trade. *(4 marks)*

12. Analyse the effects of a sustained increase in Australia's terms of trade on the Australian economy. *(6 marks)*

Part C — Data response

Data Set 1 — Terms of trade

	2023	**2024**	**2025**
Export Price Index (XPI)	120	132	126
Import Price Index (MPI)	110	115	120

(a) Calculate the terms of trade index for each year. *(3 marks)* **(b)** Calculate the percentage change in the terms of trade between 2023 and 2024. *(2 marks)* **(c)** Calculate the percentage change in the terms of trade between 2024 and 2025. *(2 marks)* **(d)** State whether the movement in (c) was favourable or unfavourable, and explain what it means for Australia's purchasing power. *(3 marks)* **(e)** Give one likely reason for the movement in the terms of trade between 2024 and 2025. *(2 marks)*

Data Set 2 — Balance of payments

Balance of payments	$m
Goods credits	450
Goods debits	380
Services credits	90
Services debits	130
Net primary income	−220
Net secondary income	−10
Capital and financial account balance	?

(a) Calculate net goods. *(1 mark)* **(b)** Calculate net services. *(1 mark)* **(c)** Calculate the balance on goods and services. *(1 mark)* **(d)** Calculate the current account balance. *(2 marks)* **(e)** State the value of the capital and financial account balance and explain your reasoning. *(2 marks)* **(f)** With reference to the data, explain the main reason for the current account outcome. *(3 marks)*

Data Set 3 — Double entry

Record the following transactions in a balance of payments table, showing **both** entries for each. *(8 marks)*

1. Australia exports $40,000 of beef to Japan.
2. An Australian family spends $6,000 on a holiday in Fiji, paid from their Australian bank account.
3. A Canadian investor purchases $15,000 of shares in an Australian company, equal to 3% of voting rights.
4. An Australian firm purchases a $25,000 patent from a German company.

	Credit	Debit	Total
Current account			
Capital and financial account			
Totals			

Part D — Answers

Part A — Multiple choice

Q	Ans	Why
1	**(b)**	This is the full definition. (a) is only the trade balance; (c) describes the International Investment Position (a stock, not a flow); (d) describes the S–I gap.
2	**(c)**	Excavators are **imported goods**, so a goods debit in the current account. Capital *goods* are still goods — this is the classic trap. The offsetting entry would be a credit in the financial account.
3	**(b)**	30% ≥ 10%, so **direct** investment. It's a **credit** because Australia's liabilities to the rest of the world have increased (foreigners now own part of an Australian business).
4	**(c)**	The double-entry book-keeping system. Note (a) is wrong: net errors and omissions is a *measurement* balancing item, not the reason the accounts balance in principle.
5	**(b)**	CAB + KAFA = 0, so CAB = −$18.4b.
6	**(b)**	Australia has **acquired a financial asset** abroad → **debit**. Don't be fooled by "money flowed out".
7	**(b)**	Rights to use a brand name = **non-produced, non-financial asset** = capital account. (a) is direct investment, (c) is portfolio investment, (d) is reserve assets — all financial account.
8	**(b)**	Some transactions are hard to measure; some are missed or omitted entirely.
9	**(a)**	Education is a **service export** → services credit in the current account. The offsetting money entry is a debit in the financial account.
10	**(b)**	Australia is a net capital importer, so servicing costs (interest on foreign debt + dividends/profits on foreign equity) paid out exceed income received.
11	**(b)**	Higher income → more consumption imports; higher output → more capital and intermediate imports → debits rise → BOGS falls → CAB falls.
12	**(b)**	TOT = (XPI ÷ MPI) × 100.
13	**(c)**	For the TOT to rise when both indexes rise, the XPI must rise by **more**. (b) is a fall (XPI falling by more in relative terms — check: if X falls 10% and M falls 5%, TOT falls). (d) is about volumes, which don't enter the TOT.
14	**(b)**	124 ÷ 110 × 100 = **112.7**. (a) is the inverted formula — a deliberate distractor.
15	**(b)**	(114 − 120) ÷ 120 × 100 = **−5%**. It is a fall of 6 index *points* but 5 *per cent*, so (a) and (c) are wrong.
16	**(c)**	Inelastic demand **and** inelastic supply → steep curves → small shifts in D or S cause large price changes.
17	**(b)**	Elastic manufactured goods supply keeps the MPI stable (range 29); inelastic commodity supply makes the XPI volatile (range 60).
18	**(b)**	Falling TOT → lower export revenue → less demand for AUD → depreciation; and lower national income and purchasing power. (c) and (d) are the opposite of the truth.
19	**(b)**	≈ 3 − 8 = **−5%** (exact: 1.03/1.08 − 1 = −4.6%). (c) and (d) are the classic "you can't infer values or volumes from price indexes" traps.

Q	Ans	Why
20	**(b)**	Higher savings → smaller S–I gap → less foreign borrowing/equity → fewer servicing outflows → narrower NPY deficit → **higher CAB**. (c) is wrong because a higher CAB means a **smaller** KAFA surplus.

Part B — Short answer

1. *(2 marks)*

> The balance of payments is a **systematic record of all transactions between the residents of Australia and the residents of the rest of the world** over a given period of time (monthly, quarterly or annually). "Residents" includes individuals, firms, the government and other organisations operating in Australia.

2. *(2 marks)*

> A **credit** records money flowing **into** Australia — it arises when Australia provides something of value to the rest of the world, such as an export of goods or services or income earned from overseas. A **debit** records money flowing **out of** Australia — it arises when Australia receives something of value from overseas, such as an import or income paid to foreign residents.

3. *(3 marks)*

> The BOP balances because of the **double entry book-keeping system**. In every economic transaction something of value is given and something of equal value is received, so each transaction is recorded as **two equal and opposite entries** — one recording the item (good, service or asset) and one recording the payment for it. Therefore for every credit there is a corresponding debit, and **CAB + KAFA = 0**. In practice, because some transactions are difficult to measure or are missed, a balancing item called **net errors and omissions** is included to ensure the accounts sum to zero.

4. *(2 marks)*

> **Direct investment** is long-term capital investment in a business (such as the purchase of machinery, buildings or factories) where the investor holds **10% or more** of the voting power, giving significant influence over operations — it is therefore non-speculative. **Portfolio investment** is the purchase of equity or debt (shares or bonds) amounting to **less than 10%**, where the investor has **no influence** over business operations, and is more speculative.

5. *(3 marks)*

> In the KAFA, credits and debits reflect **changes in ownership of assets and liabilities**, not simply the direction of money flows. When Australians purchase or build up financial claims overseas, Australia is **acquiring financial assets from the rest of the world**. Acquiring an asset is recorded as a **debit** because Australia is, in effect, buying something from the rest of the world — the offsetting credit records how it was paid for. For example, an Australian buying foreign shares creates a debit under portfolio investment, matched by a credit under "other investment — currency and deposits".

6. *(3 marks)*

> 1. **Balance on goods and services (BOGS/trade balance)** — e.g. exports of iron ore; imports of motor vehicles.
> 2. **Primary income** — e.g. dividends paid to foreign shareholders in an Australian company; interest on foreign loans; wages earned by an Australian working overseas.
> 3. **Secondary income** — e.g. foreign aid, pension payments, insurance payouts, government tax refunds.

7. *(4 marks)* — any two, each with a full chain:

> **1. An increase in major trading partner growth.** If growth in a major trading partner such as China increases, demand for Australian exports rises, particularly minerals and fuels and services. This **increases credits** in the BOGS, **increasing BOGS**.
>
> **2. A depreciation of the AUD.** A depreciation makes Australian exports **cheaper** for overseas buyers and imports **more expensive** for domestic residents. **Assuming demand for exports and imports is price elastic**, export volumes rise and import volumes fall, so **credits rise and debits fall**, **increasing BOGS**.
>
> *(Other acceptable factors: a rise in the terms of trade; improved international competitiveness; a fall in domestic economic growth reducing import demand; a favourable external shock.)*

8. *(5 marks)*

> Australia has a **small population** and a **relatively low national savings rate**, which creates a **gap between intended investment levels and the amount of domestic savings** available to fund that investment. To close this gap, Australia **borrows from overseas**, creating **foreign debt**, and **sells ownership of Australian assets**, creating **foreign equity**. Both create **future servicing obligations — interest** payments on debt and **dividends and profits** on equity. These payments are recorded as **primary income debits** in the current account. Because Australia is a persistent net capital importer, these outflows consistently exceed the primary income received from Australian investments abroad, so the **net primary income remains in deficit**. This NPY deficit is frequently **larger than any surplus on the trade balance**, producing a **current account deficit**. The capital inflow that funds the S–I gap is simultaneously recorded as a **KAFA surplus**, which is the mirror image of the CAD (CAB + KAFA = 0).

9. *(4 marks)*

> An increase in national savings would **reduce the savings–investment gap**. Firms would be able to fund a greater share of their investment projects from **domestic savings rather than foreign capital**, so there would be **less need for foreign borrowing (debt) and the sale of Australian assets (equity)**. This would reduce Australia's accumulated foreign liabilities and therefore reduce **servicing costs** — interest, dividends and profits paid overseas. **Fewer NPY outflows** means a **smaller net primary income deficit**, which would **increase the CAB and shrink the CAD**. Consistent with the BOP identity, the reduced need for capital inflow would also mean a **smaller KAFA surplus**.

10. *(3 marks)*

> The **terms of trade** is an **index measuring the relative movements in the prices of exports and imports** — the ratio of export prices to import prices, calculated as (XPI ÷ MPI) × 100. It measures the **quantity of imports a country can obtain in exchange for a given volume of exports**. A **rise** in the terms of trade is **favourable**: export prices have risen relative to import prices, meaning Australia can now purchase **more imports with a given quantity of exports**, so Australia's **international purchasing power has increased**.

11. *(4 marks)*

> Australia is a **price taker**, and around **75% of Australia's exports are commodities** whose prices are determined on global markets. A slowdown in Chinese economic growth would **reduce Chinese demand for Australian commodities**, particularly iron ore and coal, as construction and steel production contract. Because the **demand and supply of commodities are both relatively inelastic** (steep curves), this **leftward shift in demand causes a large fall in commodity prices**. Falling commodity prices reduce the average price received for Australia's exports, **lowering the XPI**. Assuming the MPI is unchanged or falls by less, the **terms of trade falls (an unfavourable movement)**, meaning Australia can purchase **fewer imports for a given volume of exports** — reducing our international purchasing power.

12. *(6 marks)*

A sustained increase in the terms of trade means **export prices have risen relative to import prices**, so the **same volume of exports earns more revenue**.

Trade balance and current account: export credits rise relative to import debits, **increasing BOGS** and therefore **increasing the CAB**.

National income and living standards: higher export revenue flows to Australian exporters as higher **incomes and profits**, raising **real national income**. Because Australia can now buy more imports per unit of exports, **real purchasing power and material living standards rise**.

Investment and employment: higher commodity prices raise the **expected profitability** of resource projects, so firms **increase investment** in the resources sector. Through **derived demand for labour**, employment rises and the **unemployment rate falls**.

Government budget: higher company profits and employment increase **company and income tax receipts** and **state royalties**, **increasing government revenue** and improving the budget position.

Exchange rate: foreign buyers must purchase more AUD to pay for Australian exports, and higher expected returns attract capital inflow, so **demand for the AUD increases** and the **AUD appreciates**.

Inflation: rising incomes and profits increase aggregate demand, generating **demand-pull inflationary pressure**, particularly if the economy is near full capacity — though this is **partly offset** because the appreciating AUD makes imports cheaper.

Qualification for full marks: the improvement in the CAB may be **partially offset** by a **widening NPY deficit**, because much of Australia's mining sector is **foreign-owned**, so higher profits mean higher **dividend payments to overseas investors**, recorded as primary income debits.

Part C — Data response

DATA SET 1

(a) *(3 marks)*

```
2023:  (120 ÷ 110) × 100 = 109.1
2024:  (132 ÷ 115) × 100 = 114.8
2025:  (126 ÷ 120) × 100 = 105.0
```

(b) *(2 marks)*

```
(114.8 − 109.1) ÷ 109.1 × 100 = +5.2%
```

> The terms of trade **rose by approximately 5.2%**.

(c) *(2 marks)*

```
(105.0 − 114.8) ÷ 114.8 × 100 = −8.5%
```

> The terms of trade **fell by approximately 8.5%**.

(d) *(3 marks)*

> The movement was **unfavourable**. Import prices rose (MPI 115 → 120) while export prices **fell** (XPI 132 → 126), so import prices rose relative to export prices. This means Australia can now purchase **fewer imports with a given quantity of exports** — Australia's **international purchasing power has declined**.

(e) *(2 marks)* — any one, developed:

> A **fall in global commodity prices**, for example due to an economic slowdown in China reducing demand for Australian iron ore and coal, would lower the XPI. Because commodity demand and supply are relatively **inelastic**, a leftward shift in demand causes a **large fall in price**, reducing the XPI and therefore the TOT.
>
> *(Also acceptable: a rise in global oil prices due to conflict or supply disruption raising the MPI; supply bottlenecks increasing the price of imported manufactured goods; increased global commodity supply depressing export prices.)*

DATA SET 2

(a) Net goods = 450 − 380 = **+$70m** *(1 mark)*

(b) Net services = 90 − 130 = **−$40m** *(1 mark)*

(c) BOGS = 70 + (−40) = **+$30m** *(1 mark)*

(d) *(2 marks)*

```
CAB = BOGS + net primary income + net secondary income
    = 30 + (−220) + (−10)
    = −$200m
```

> The current account is in **deficit of $200 million**.

(e) *(2 marks)*

> **KAFA = +$200m (a surplus).** Because **CAB + KAFA = 0** — every transaction is recorded as two equal and opposite entries under double-entry book-keeping — a current account deficit of $200m must be exactly offset by a capital and financial account **surplus** of $200m, representing the net capital inflow that funds the deficit.

(f) *(3 marks)*

> The current account deficit is caused **almost entirely by the net primary income deficit of $220 million**, not by trade. The **balance on goods and services is actually in surplus** (+$30m), as a goods surplus of $70m outweighs a services deficit of $40m. However, the NPY deficit of $220m is more than **seven times** the size of the BOGS surplus, and together with the small secondary income deficit of $10m it pushes the current account into a **deficit of $200m**. This reflects Australia's **servicing costs** — interest on foreign debt and dividends and profits on foreign equity — arising from the **savings–investment gap** and Australia's position as a net capital importer.

DATA SET 3

Working — the item first, then the offsetting money entry in the financial account:

Transaction	Entry 1 (the item)	Entry 2 (the money)
1. Beef export $40,000	**CR $40,000** — CA, goods	**DR $40,000** — FA, other investment (currency)
2. Holiday in Fiji $6,000	**DR $6,000** — CA, services (travel import)	**CR $6,000** — FA, other investment (currency and deposits)
3. Canadian buys 3% of shares $15,000	**CR $15,000** — FA, **portfolio** investment (<10%, so Australia's liabilities increase)	**DR $15,000** — FA, other investment (currency)
4. Purchase of German patent $25,000	**DR $25,000** — **capital account**, non-produced non-financial assets	**CR $25,000** — FA, other investment (currency)

Completed table:

	Credit	Debit	Total
Current account	+$40,000 (beef)	−$6,000 (Fiji holiday)	**+$34,000**
Capital and financial account	+$15,000 (shares) +$6,000 (currency) +$25,000 (currency)	−$25,000 (patent) −$40,000 (currency) −$15,000 (currency)	**−$34,000**
Totals	**+$86,000**	**−$86,000**	**$0**

Check: CA (+$34,000) + KAFA (−$34,000) = **$0** ✓

Marks to note: - 3% < 10% → **portfolio**, not direct investment - A patent is an **intangible, non-produced non-financial asset** → **capital** account, not financial account - Every transaction needs **two** entries - The table must sum to zero

Part E — Exam technique

Command words

Word	What it demands
Identify / State	One word or figure. No explanation. Don't waste time.
Define	The formal definition, using economic terminology.
Calculate	Show the formula, substitute, give the answer **with units** (%, $m, index points).
Describe	Say *what* happened — direction, magnitude, dates.
Distinguish	Both items, with an explicit point of difference ("whereas…").
Explain	Say *why*, using a **causal chain**.
Analyse	Break into components, examine relationships, use data.
Evaluate / Discuss	Both sides plus a **justified judgement**.

The chain formula

Every "explain" answer should look like this:

> **Cause → effect on X or M / credits or debits → effect on BOGS or NPY → effect on the CAB**

Example: *"Chinese growth slows → demand for Australian iron ore falls → commodity prices and the XPI fall → export credits fall → BOGS falls → the CAB falls."*

Calculation checklist

1. Write the **formula** first — worth a mark on its own if you fumble the arithmetic
2. **Substitute** the numbers visibly
3. Give the answer **with units**
4. For percentage changes, divide by the **OLD** value
5. Check whether the question wants **index points** or **per cent**
6. State **direction** (rose/fell) and, for the TOT, **favourable/unfavourable**

Time management

- MCQ: about **1 minute each**. Flag and move on — don't lose short-answer marks to one hard MCQ.
- Do all **calculations** before any extended writing. They're the fastest marks in the paper.
- Marks ≈ minutes for short answer. A 6-mark question deserves roughly 6 minutes and 6 distinct points.

Before you hand it in

- Every calculation has **units**
- Every "explain" has an **arrow chain**, not just a statement
- Every trend answer has a **figure and a date**
- You've mentioned **both BOGS and NPY** in any CAB question
- You've said **favourable/unfavourable** in any TOT question
- You've stated the **elasticity assumption** in any exchange rate chain